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Investor Presentation | Asia Pacific

China Outlook Amid AI And Energy Super Cycle

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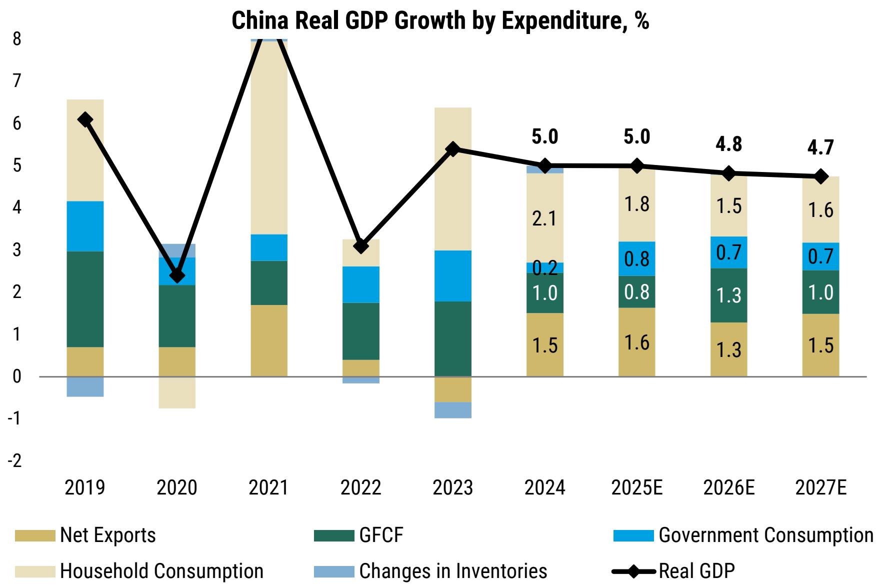
For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

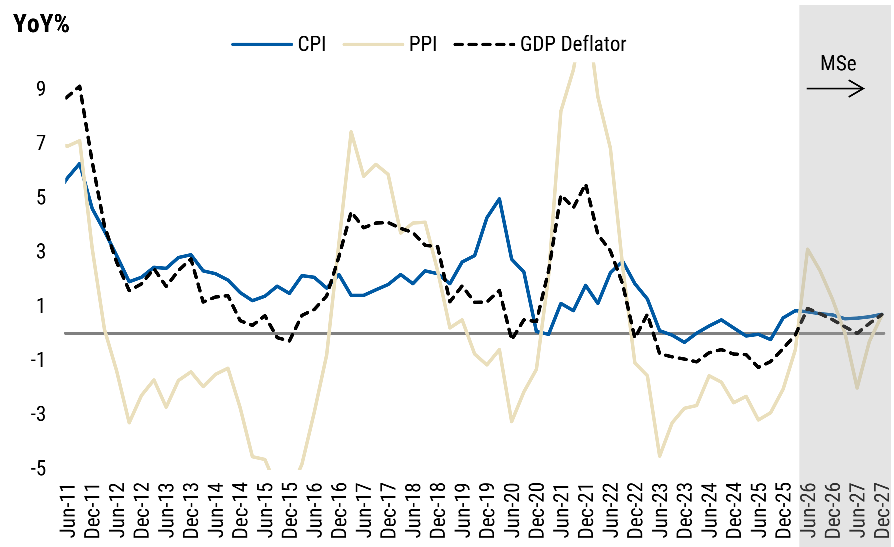
Economic Outlook

A Two-speed Economy, Stable in Aggregate

Exports driving growth amid AI and energy capex super-cycle



Inflation is rising but reflation is narrow

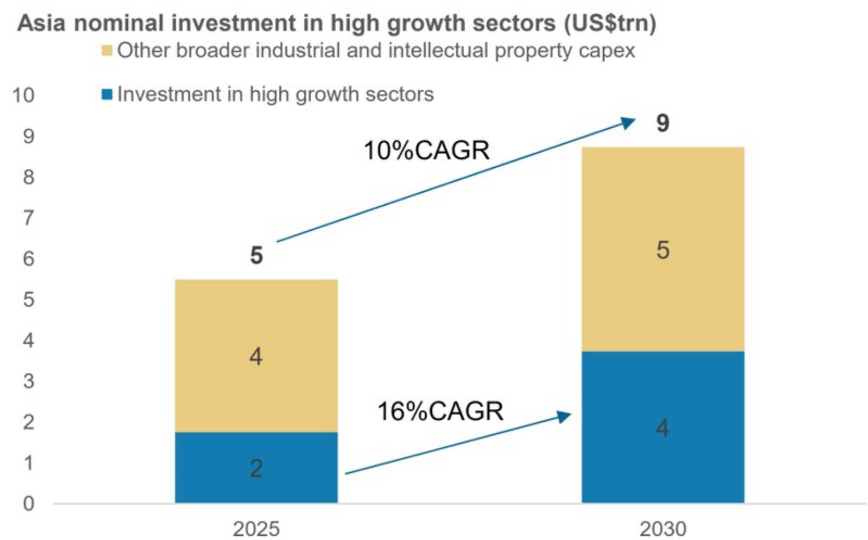


Source: CEIC, Morgan Stanley Research estimates.

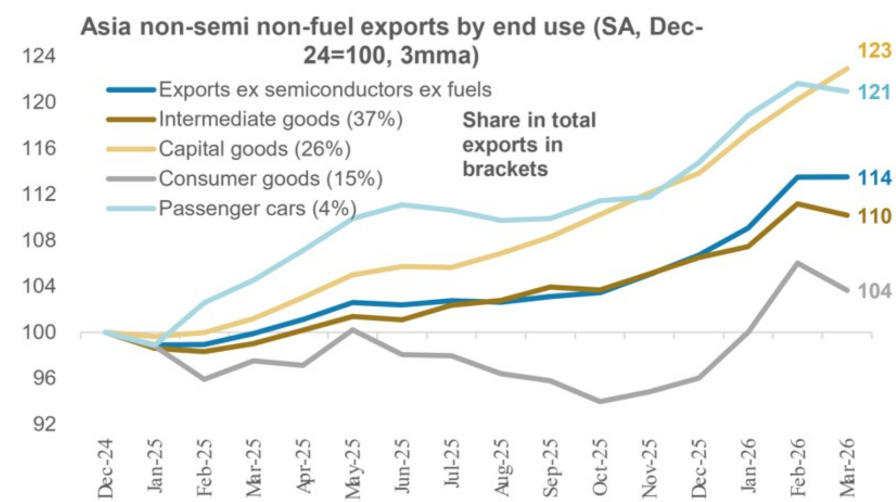
Economic Outlook

The Rising Asia Industrial Super-cycle…

Asia is likely to enter its strongest industrial cycle since the mid-2000s, not just an AI/tech story



A sharp rise in Asia's non-tech exports since October 2025, which is broad-based across product segments



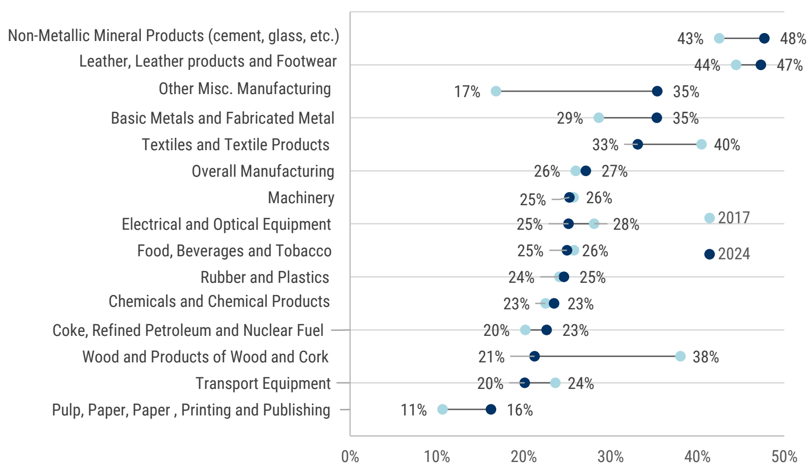
Source: CEIC, Morgan Stanley Research estimates. Note: *We exclude China's real estate capex given the structural decline in property demand. Capital goods are durable assets used by firms to produce other goods and services, such as computers, machinery and equipment, and transport equipment used in production. Intermediate goods are goods that are processed further or incorporated into final products. Intermediate goods include raw materials (e.g. crude oil, iron ore), processed materials (e.g. steel, chemicals), components and parts (e.g. electronic components, auto parts). We excluded semiconductors and fuels from intermediate goods.

Economic Outlook

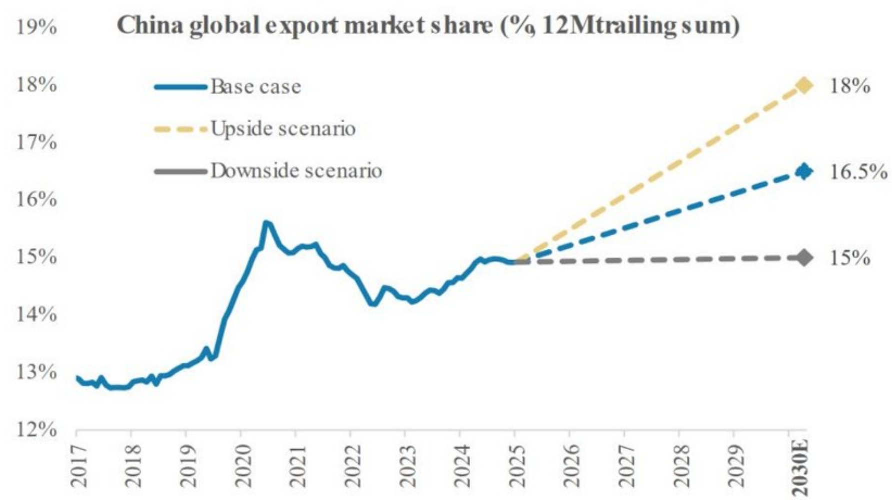
…Is Set to Benefit China's Exports, Anchoring Growth Momentum

China has a dominant share in global value-added across manufacturing sectors

China's share in global value added in individual manufacturing sector



We expect China's global export market share to rise to 16.5% by 2030

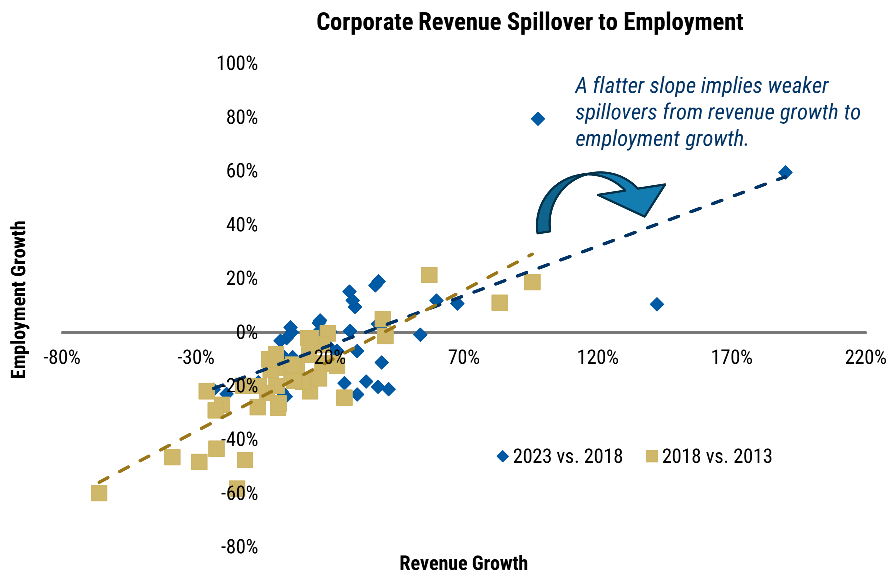


Source: CEIC, Morgan Stanley Research estimates. For more details, see Asia Economics: Why China will widen its lead in global manufacturing exports (7 Dec 2025).

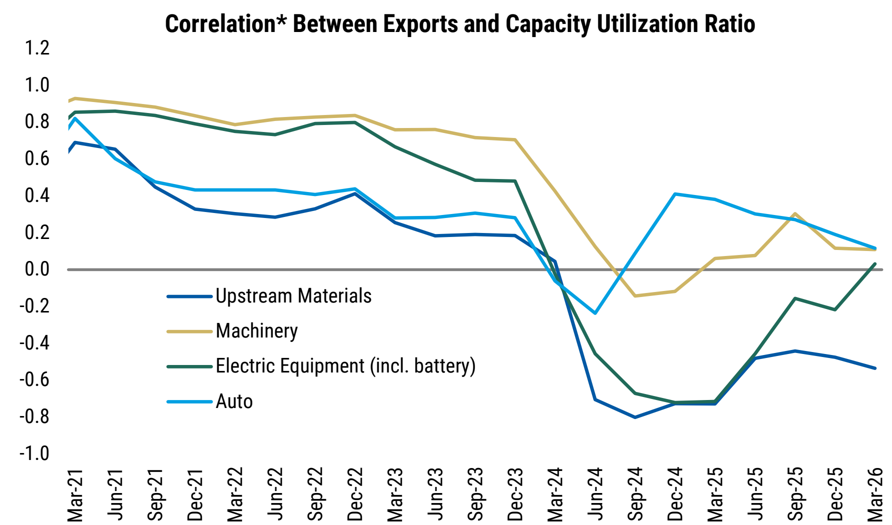
Economic Outlook

That Said, the Positive Spillover to the Broader Economy Could be Milder This Time

Employment may get less boost as the industrial sector becomes more capital intensive and automated



Reduced transmission effect of export strength to capex given pervasive excess capacity

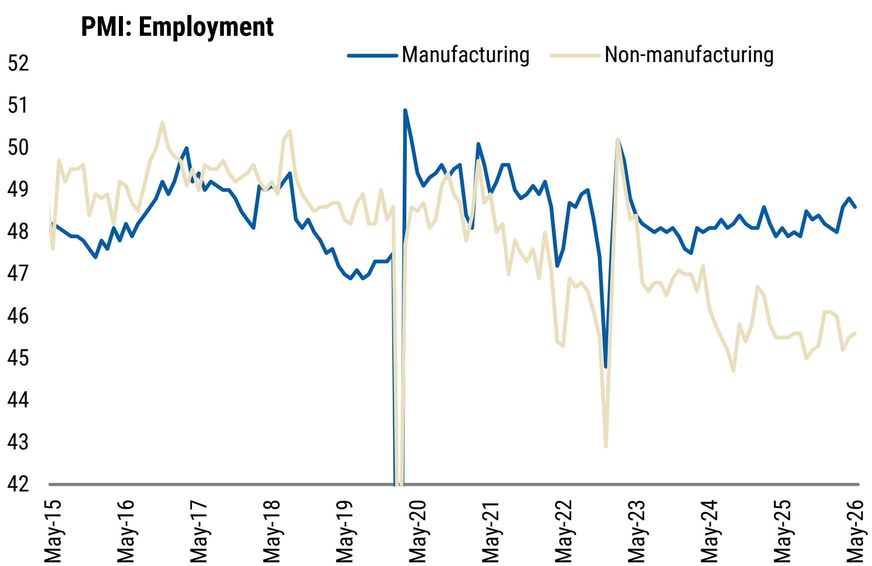


Source: NBS, Economic Census, Morgan Stanley Research. Note: RHS: 3-year rolling correlation.

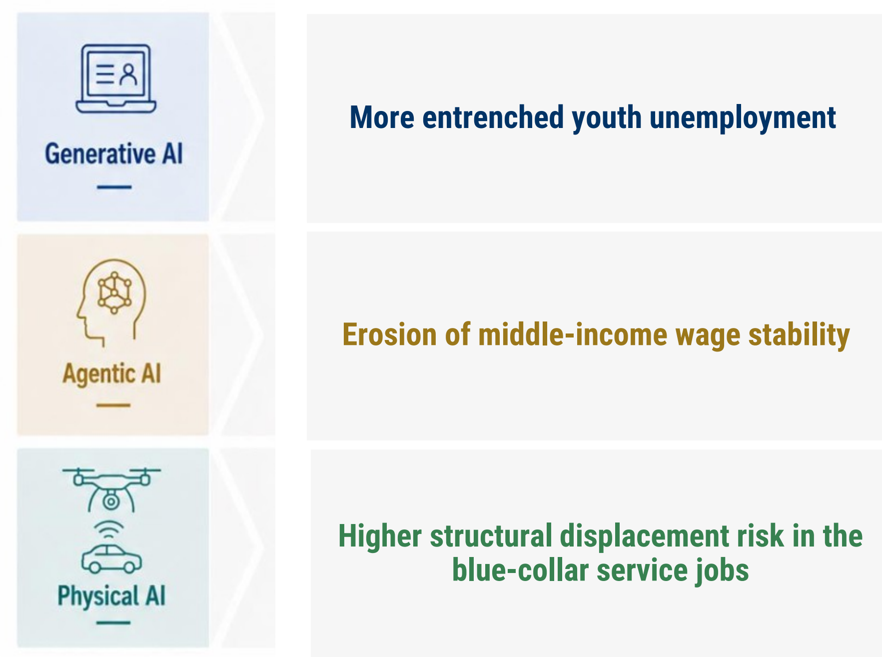
Economic Outlook

Domestic Demand is Still Lagging

Labor market slack is the key binding constraint



AI diffusion may add to the labor market stress

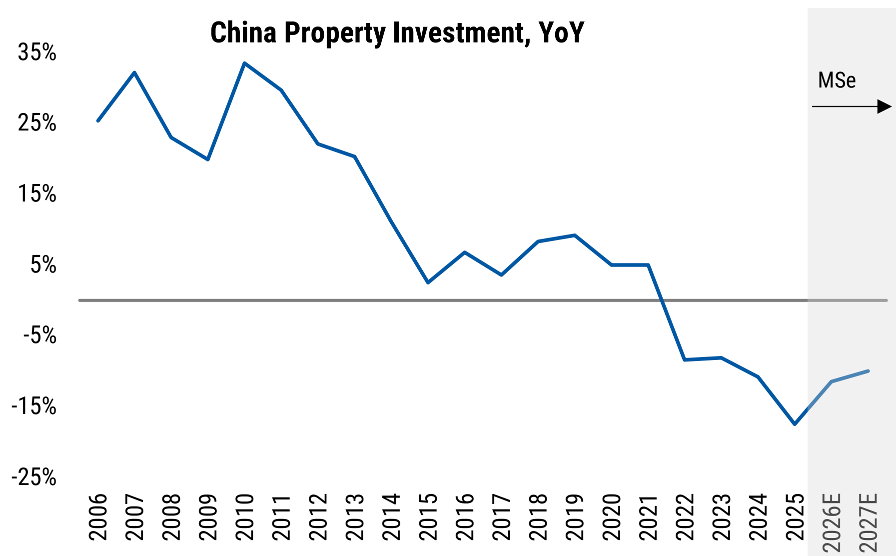


Source: CEIC, Morgan Stanley Research.

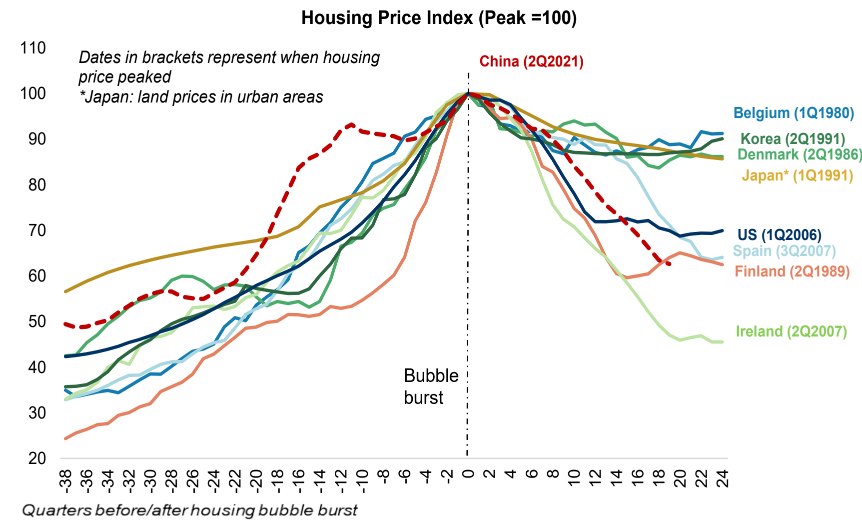
Economic Outlook

Housing: Ongoing Adjustment

Years of declining new starts have depleted the construction pipeline



Broad housing prices still face headwinds

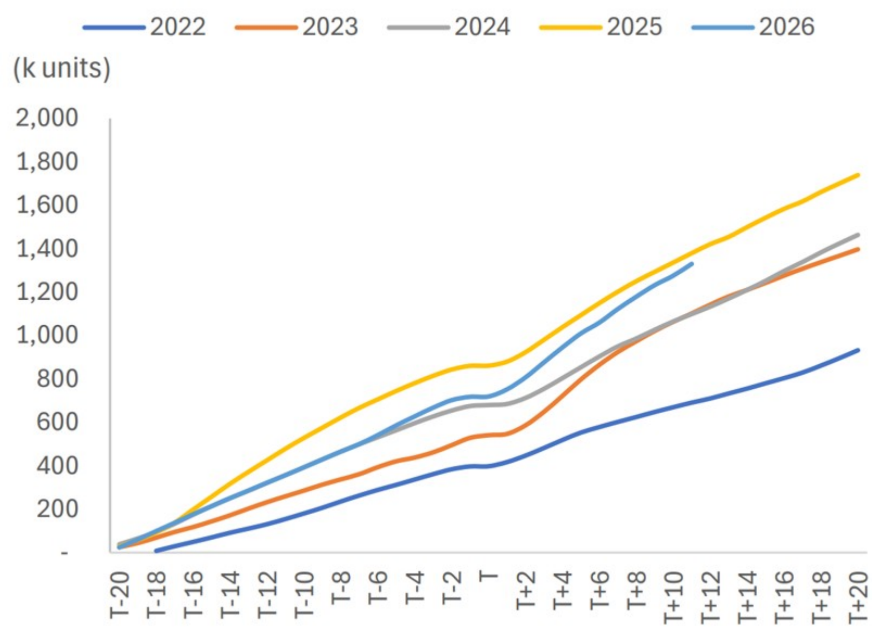


Source: CEIC, Bingshan, BIS, Morgan Stanley Research estimates.

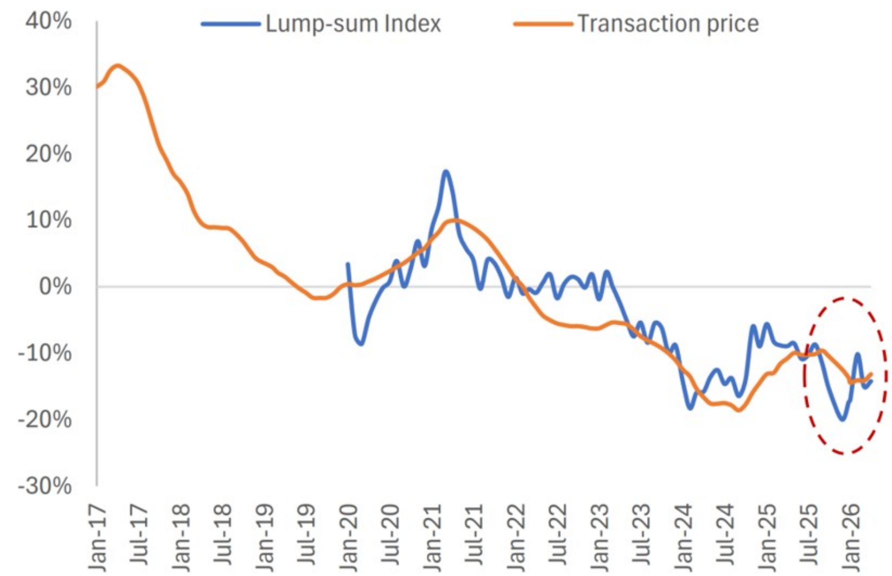
Economic Outlook

Housing: An Inflection or Another False Start?

Post-LNY rebound in housing sales may partly reflect the release of previously pent-up demand



A shift toward smaller lump-sum housing



Source: CEIC, Morgan Stanley Research. Note: T stands for Chinese New Year week. For more details, see China Property: An Inflection or Another False Start? (18 May 2026).

Economic Outlook

Housing: Majority of Indicators Show Limited Improvement

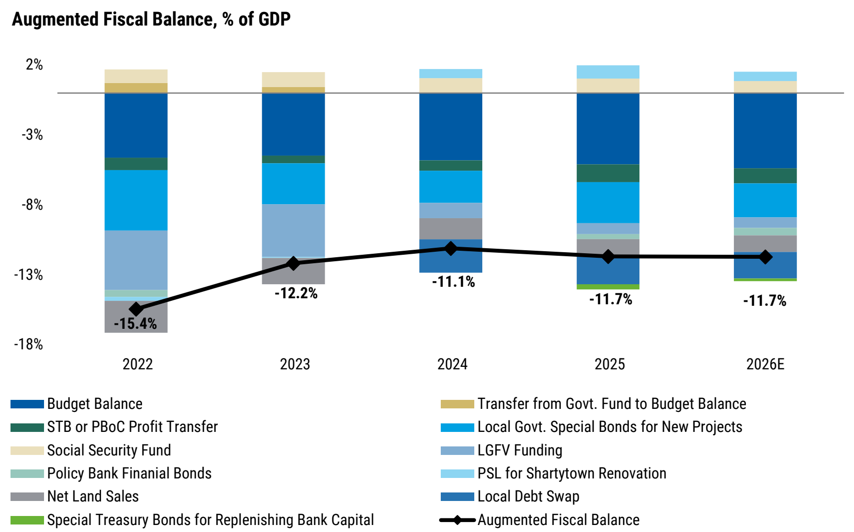
	Indicators	March 2025	April 2026	Change	Note
Resident sentiment (% of respondents in AlphaWise survey)	**Home price outlook of residents**				
	- T1 cities	Net 39% expected decline	Net 46% expected decline	↓	
	- T2 cities	Net 45% expected decline	Net 48% expected decline	↓	
	Home purchase plans				
	- T1 cities	14% respondents	13% respondents	↓	
	- T2 cities	17% respondents	15% respondents	↓	
	Home disposal plan				
	- T1 cities	n/a	35% respondents		
	- T2 cities	n/a	39% respondents		
Housing market health	**Primary inventory level**				
	- T1 cities (4 cities)	~18 months	>23 months	↓	
	- T2 cities (27 cities)	~23 months	>30 months	↓	
	Secondary listing volume				
	- T1 cities (4 cities)	457k units	435k units	↑	BJ / SH / GZ witnessed lower
	- T2 cities (27 cities)	2.95mn units	2.98mn units	↓	63% cities witnessed higher
	Cumulative home prices decline				
	- T1 cities (4 cities)	27%	37%	↑	
	- T2 cities (29 cities)	37%	45%	↑	
	Affordability (price to income ratio)				
	- T1 cities	~15x	~14x	↑	
	- T2 cities	~8x	~7x	↑	
	Rental rate index				
	- T1 cities (4 cities)	82.3	80.5	↓	
	- T2 cities (31 cities)	29.6	28.4	↓	
	Rental yields				
	- T1 cities (4 cities)	1.80%	1.95%	↑	
	- T2 cities (31 cities)	2.42%	2.62%	↑	
	Commercial mortgage rates				
	- T1 cities	3%+	3%+	→	
	- T2 cities	3%+	3%+	→	
	Minimum downpayment ratio				
	- T1 cities	15%	15%	→	
	- T2 cities	15%	15%	→	

Source: CEIC, Morgan Stanley Research. For more details, see China Property: An Inflection or Another False Start? (18 May 2026).

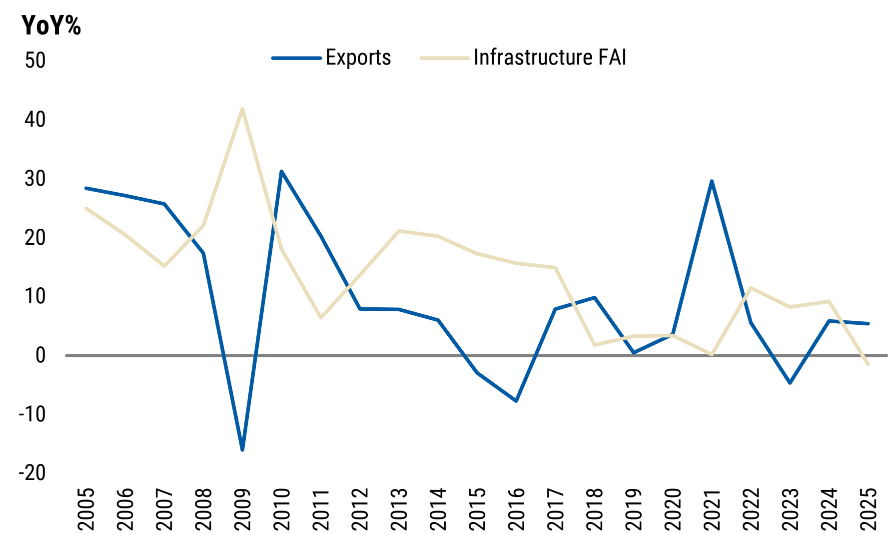
Economic Outlook

Policy on Cruise Control

Augmented fiscal deficit will likely stay flat at 11.7% of GDP this year, with no supplementary budget in 2H



Export resilience reduces urgency for additional countercyclical easing



Source: CEIC, Wind, Morgan Stanley Research estimates.

Economic Outlook

Geopolitical Tensions May Reinforce a Supply-centric Bias

Five-year plan remains supply-centric

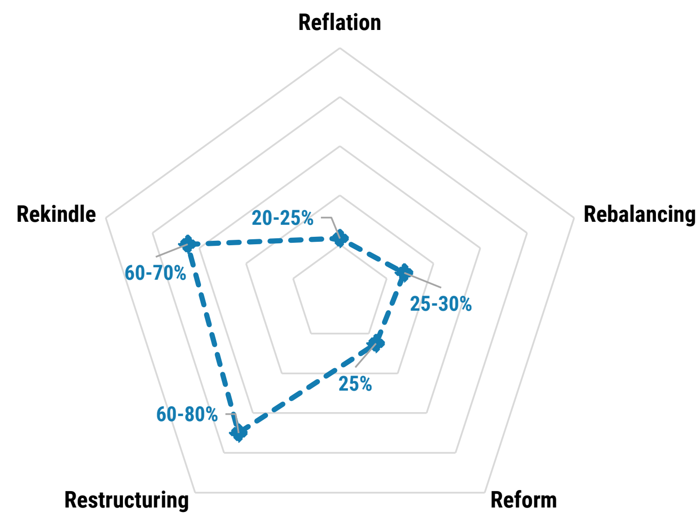
Growth Target
- Not Specified

Consumption
- Commitments to boost consumption/GDP ratio

Tech & Green Transition

Clear numerical targets:
- R&D (5Y CAGR: >7%)
- Labor productivity growth (>GDP growth)
- Digital economy (↑2pp of GDP by 2030)
- CO2 emissions per unit of GDP (↓17% by 2030 vs. 2025)
- Additional target on non-fossil fuel consumption

Economic rebalancing at a calibrated pace

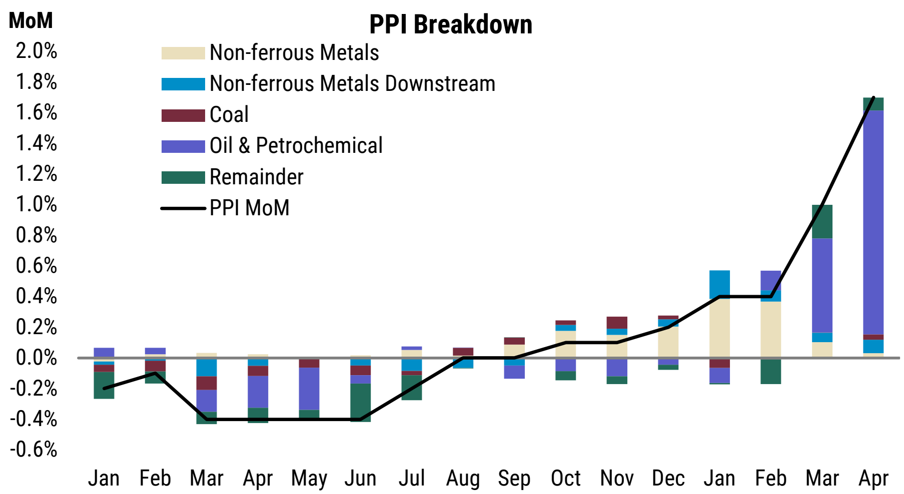


Source: CEIC, Morgan Stanley Research (E) estimates.

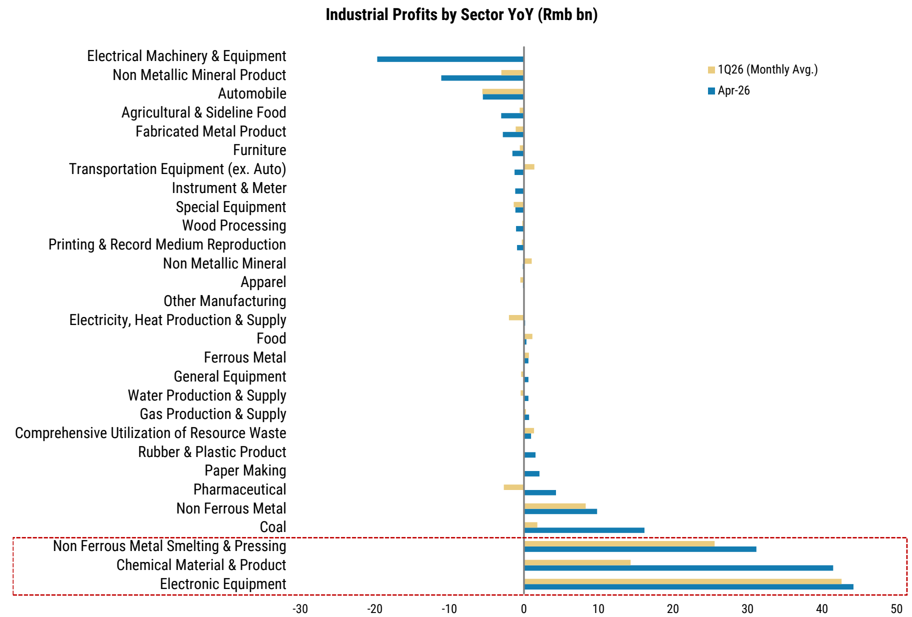
Economic Outlook

Reflation is Narrow

Ongoing surge in PPI is more supply-driven than demand



Industrial profit growth remains narrowly concentrated in sectors related to global AI and green transition demand



For reflation to broaden, we would need to see:

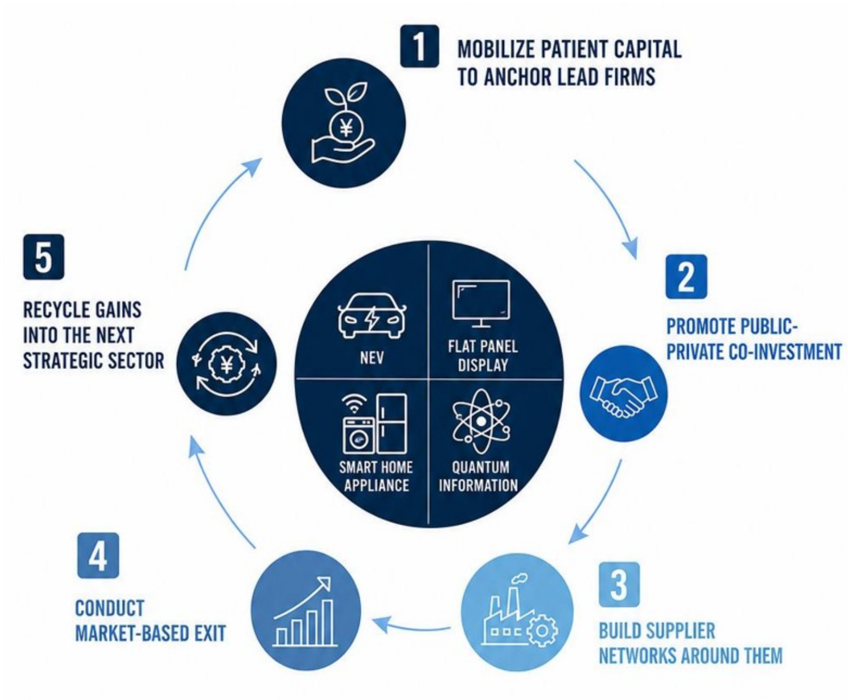
(1) Continued investment slowdown in oversupplied sectors;
(2) Persistent export strength; and
(3) Most critically, a consumption pick-up.

Source: CEIC, Morgan Stanley Research.

Economic Outlook

Industrial Policy: Lessons from the "Hefei Model"

Hefei's recipe for success: ecosystem planner, not blanket subsidy provider



The city has cultivated national and global champions in advanced manufacturing

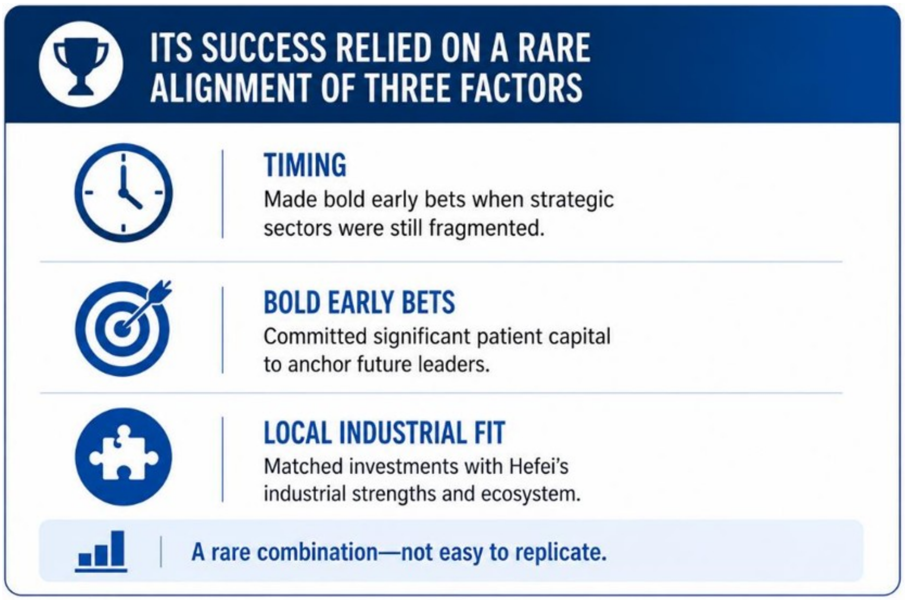
Note: Ranking is based on local major companies

Source: Morgan Stanley Research

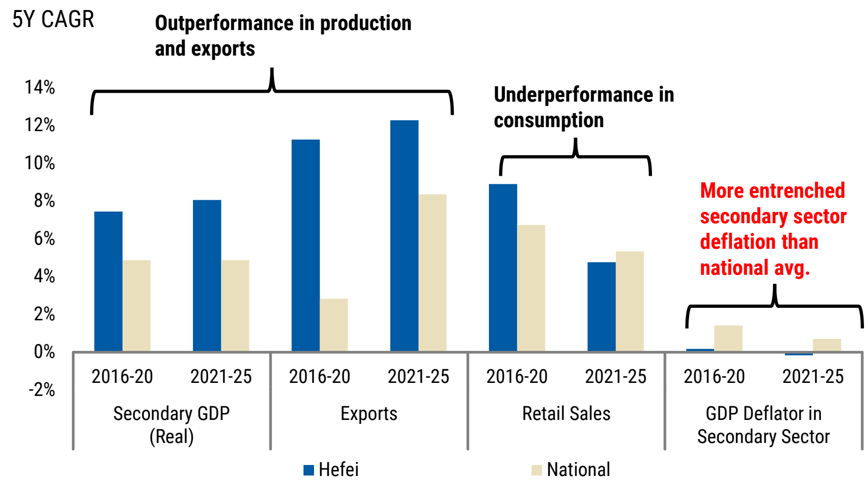
Economic Outlook

But Hefei Model Is Difficult to Replicate

Where does Hefei's success come from?



Even Hefei itself is not immune to overcapacity and deflation problems



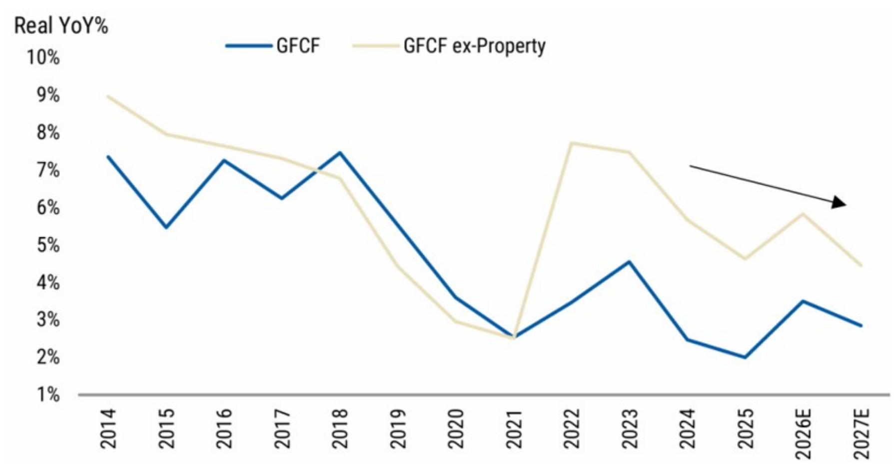
If many regions imitate the same surface tools— large upfront government seed capital and buildup of industrial parks, and focus on the same frontier sectors, it may compound the overcapacity problem nationwide

Source: CEIC, Morgan Stanley Research

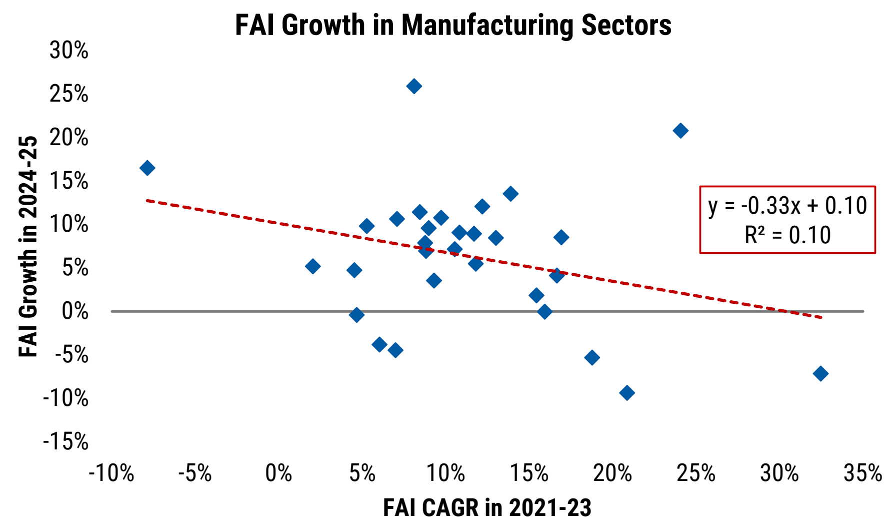
Economic Outlook

Smarter Industrial Policy Alone May Not Narrow Supply-Demand Imbalances

Investment ex-property growth slowed from 2021-23's spike, but only at a modest pace



The "baton" of investment has been passed from sectors with overcapacity to those with less oversupply, for now



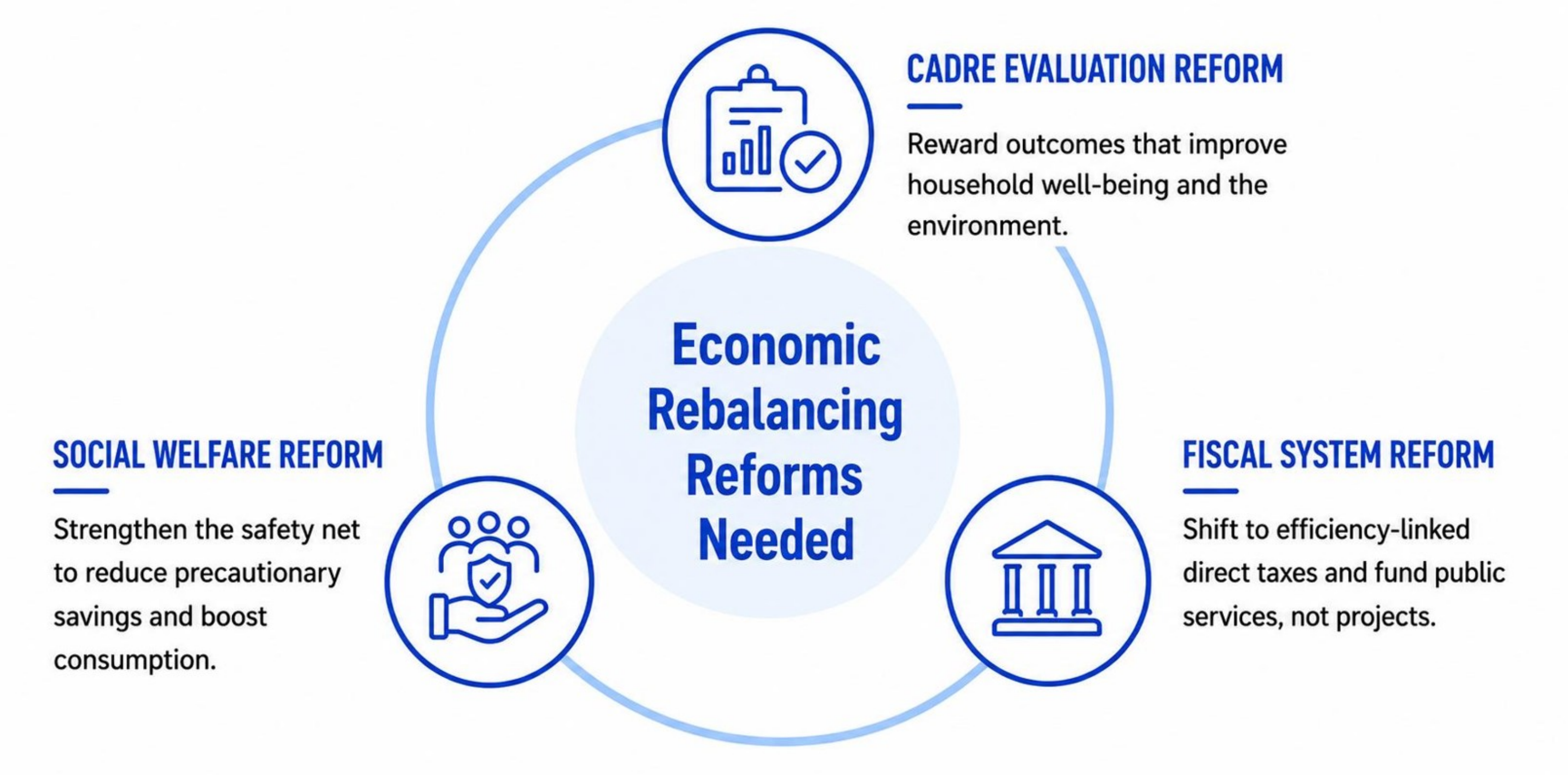
"National unified market" and anti-involution are right in direction, but challenging to implement:

- Top-down coordination unworkable; market mechanisms for specialization still weak
- Local incentives misaligned
- Tax system biases production

Source: CEIC, Morgan Stanley Research estimates

Economic Outlook

Reforms Are Needed to Alleviate the Overhang from Legacy Issues

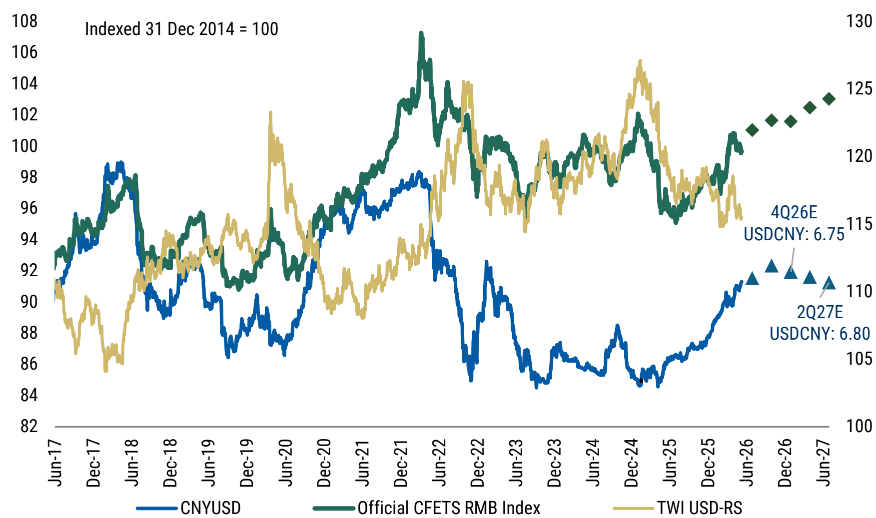


Source: Morgan Stanley Research.

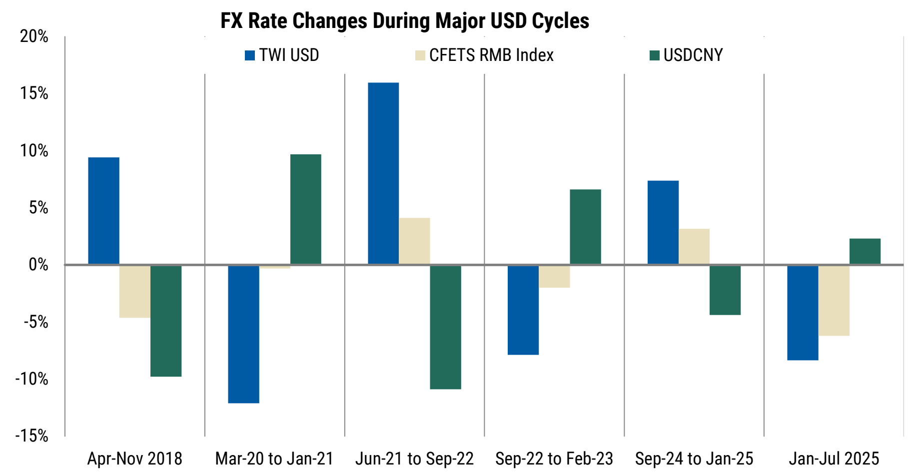
Economic Outlook

PBoC Unlikely to Rely on RMB Appreciation to Address Economic Imbalances

Modest CFETS RMB upside, USDCNY a function of USD moves



How PBoC managed RMB moves in the past

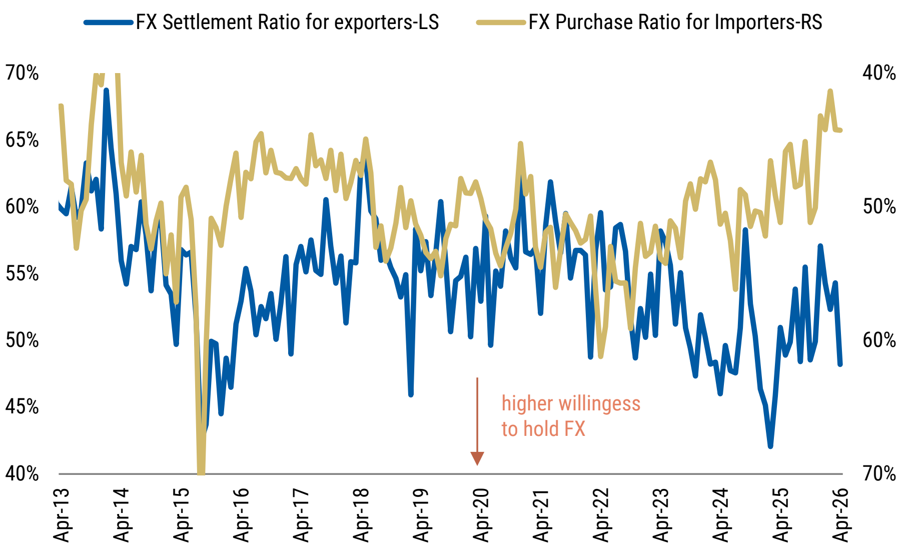


Source: Bloomberg, CEIC, Morgan Stanley Research estimates.

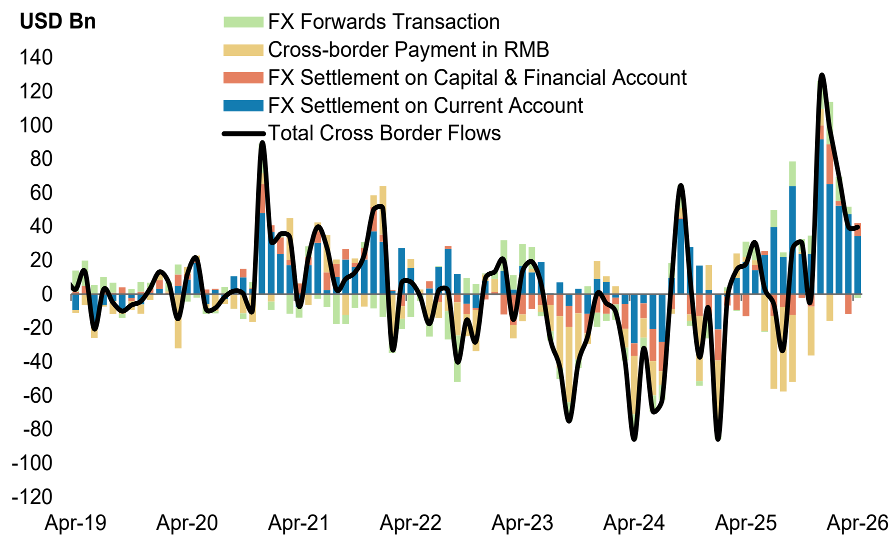
Outbound Investment

China Tightens Outbound Investment Controls to Regulate Flows…

The regulation is not about acute capital flight pressure: RMB depreciation expectations have eased actually



Our measure of monthly capital flows - more related to FX market equilibrium - have turned from outflows to inflows



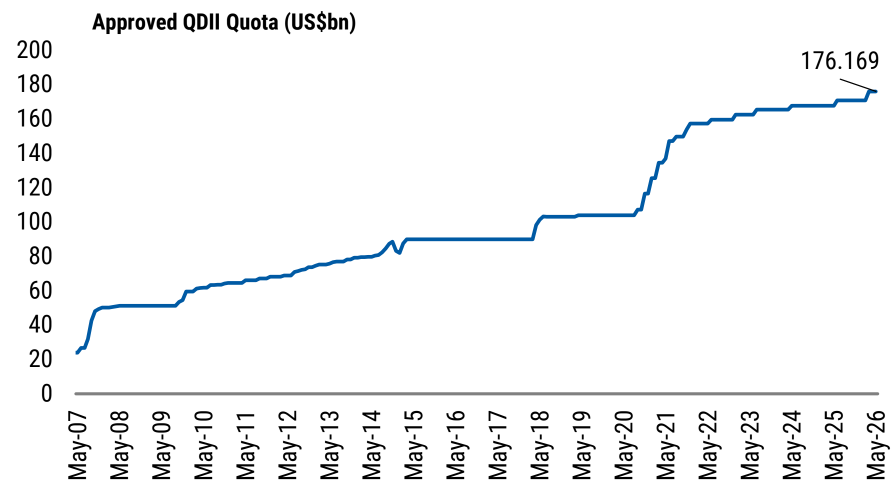
Source: CEIC, Morgan Stanley Research

Outbound Investment

…Not to Shut Down Overseas Investment Channels

Mainland residents still have several legal routes to gain offshore securities exposure…

…albeit with various limitations such as insufficient quotas, product eligibility and regional restrictions etc.

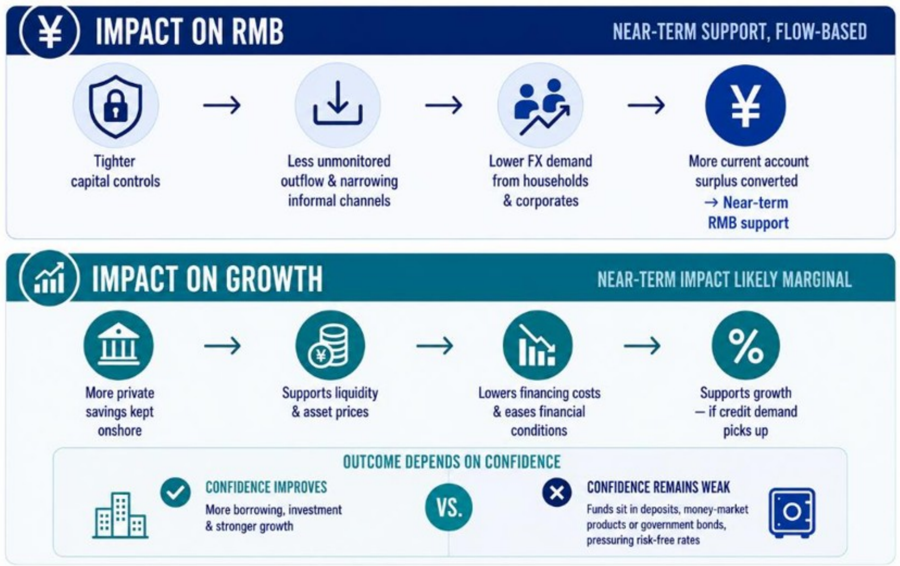


Source: CEIC, Morgan Stanley Research

Outbound Investment

Implications: Near-term Support to RMB, Marginal Impact on Growth

Regulatory impact on RMB and growth

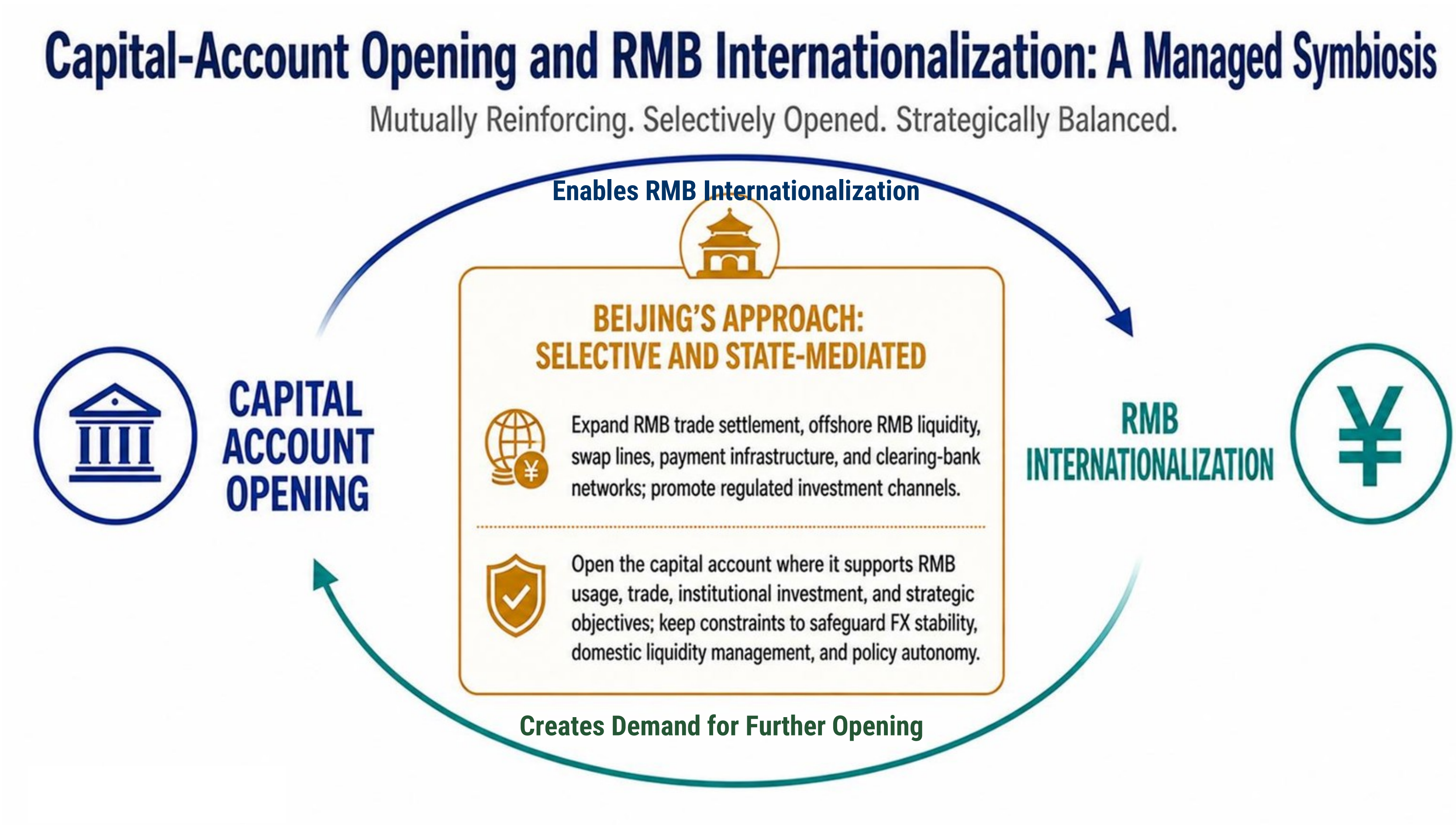


Tighter controls could reduce risk-adjusted return opportunities for domestic portfolio investors

Source: CEIC, Morgan Stanley Research

Outbound Investment

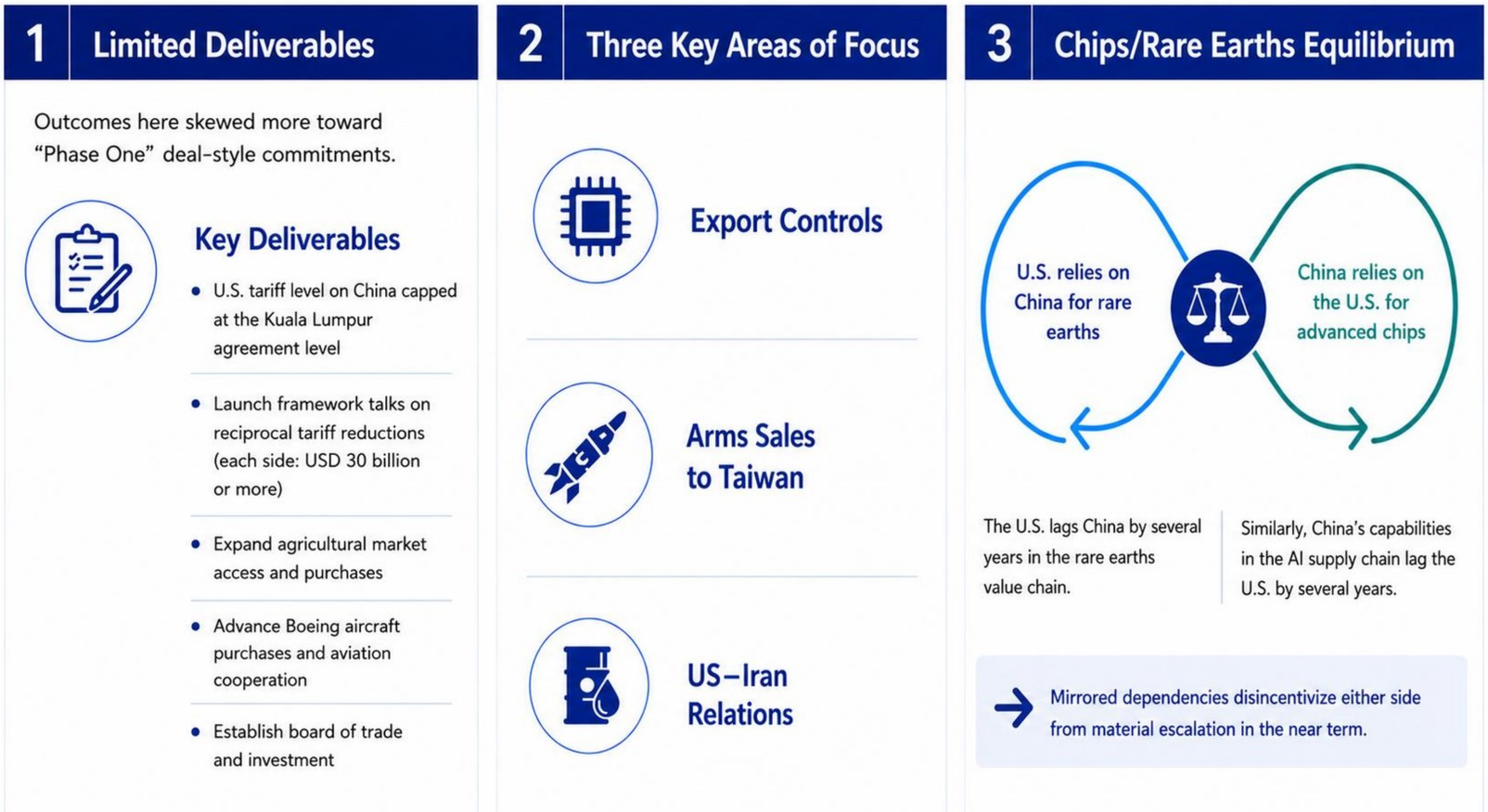
China Will Likely Continue with Its Prevailing Capital Account Opening Approach



Source: CEIC, Morgan Stanley Research

US-China Relations

"Limited Truce+": Modest Trade/Investment Measures, Selective Cooperation

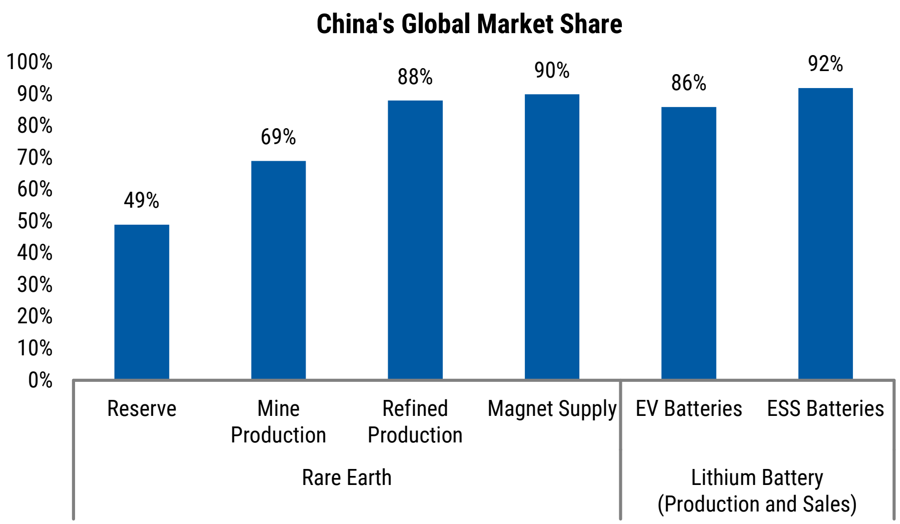


Source: Government website, Morgan Stanley Research. For more details, see US/China Summit: Managing the Relationship (18 May 2026).

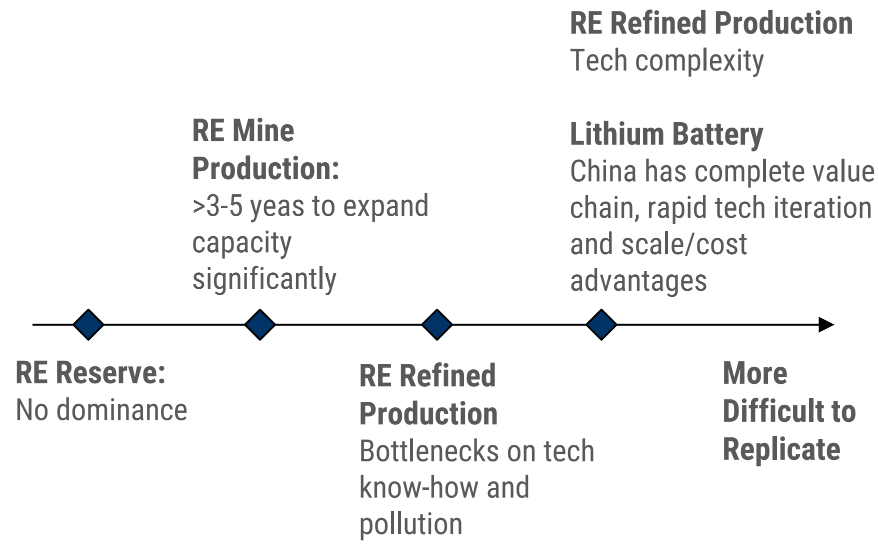
US-China Relations

Strategic Stability Underpinned by Chips/Rare Earths Equilibrium

China's global dominance in rare earths and lithium batteries



How durable is China's dominance?



Source: US Department of Energy, company data, EV tank, SNE, Morgan Stanley Research.

Structural Opportunities

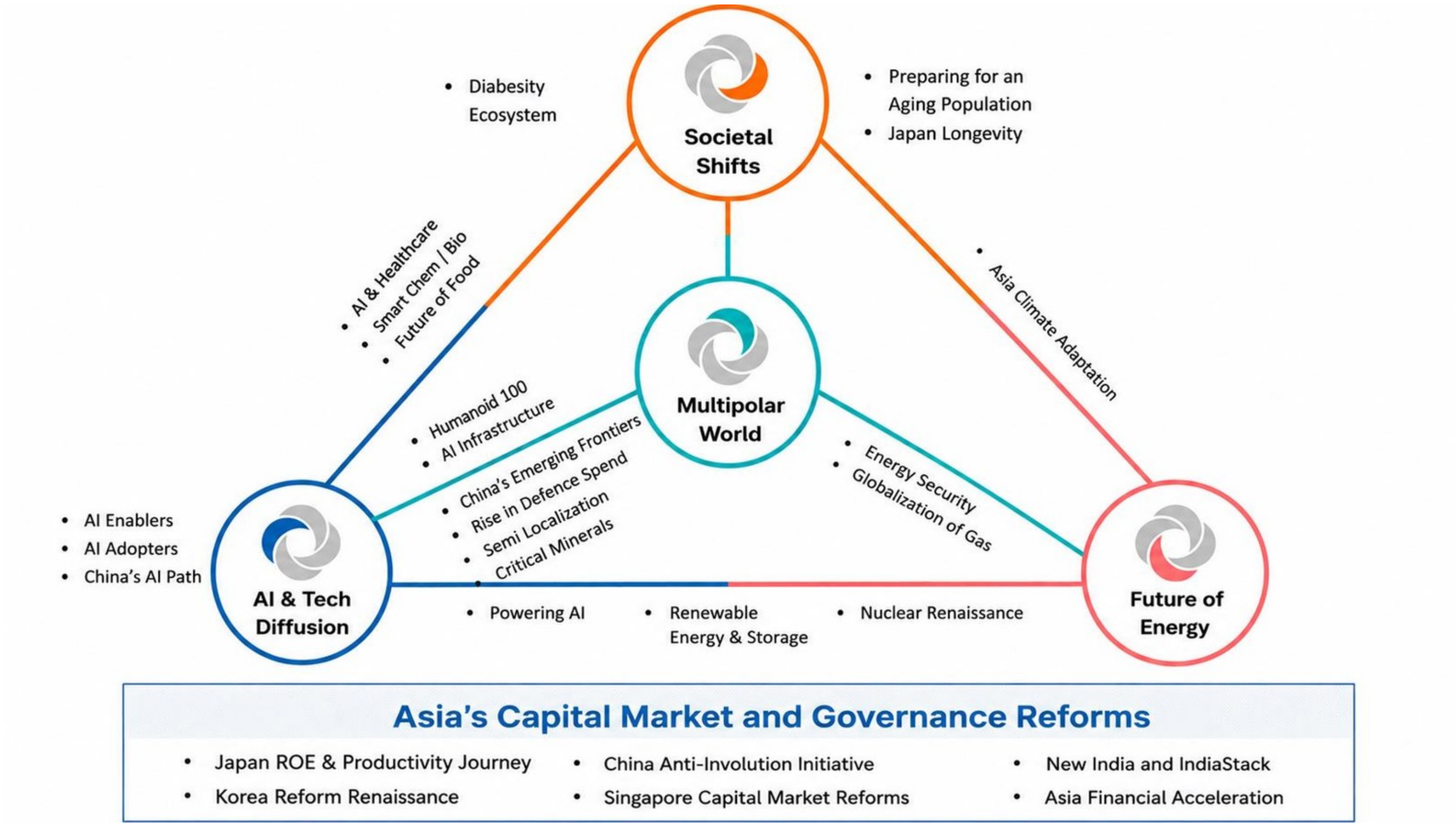
Mapping Out Morgan Stanley's Four Global Themes and Investible Sub-Themes

Multipolar World	AI & Tech Diffusion	Future of Energy	Societal Shifts
The Rise in Defense Spending	AI Enablers	Powering AI	Diabesity Ecosystem
Semiconductor Localization	AI Adopters	Nuclear Renaissance	AI & Health Care
Critical Minerals	AI Infrastructure	Europe's 'Low Decarb Diet'	Smart Chemo
	Humanoids	Power Grid Growth & Evolution	Preparing for an Aging Pop'n
	China's AI Path	Clean Energy & Storage	Japan Longevity
	China's Emerging Frontiers	Energy Security	Future of Food & Beverages
	Asia AI Adoption Leaders	Globalization of Natural Gas	AI Job Displacement & Re-Skilling
		Asia Climate Adaptation	

Source: Morgan Stanley Research. For more details, see Asia Thematic Strategy: Investor Presentation: Playing Asia's Investment Super-Cycle and Competitive Reinvention (17 May 2026).

Structural Opportunities

Asia’s Competitive Reinvention: Core Themes and Thematic Opportunity



Source: Morgan Stanley Research. For more details, see Asia Thematic Strategy: Investor Presentation: Playing Asia's Investment Super-Cycle and Competitive Reinvention (17 May 2026).

AI Diffusion

China AI 2.0 – Entering a New Phase

AI: A Shift in the Center of Gravity over Past 12 Months

Infra -> Earnings

AI hits P&L

Rising earnings expectations
Expanding margins
Efficiency gains

Compute -> Power

Shifting bottleneck

Storage
Grid flexibility
Real-time deployment

Models -> Physical AI

Embodied AI

Humanoids
Autonomous vehicles
Manufacturing data

China's Edge

- Speed of deployment
- Cost efficiency
- System integration
- Open-source platforms

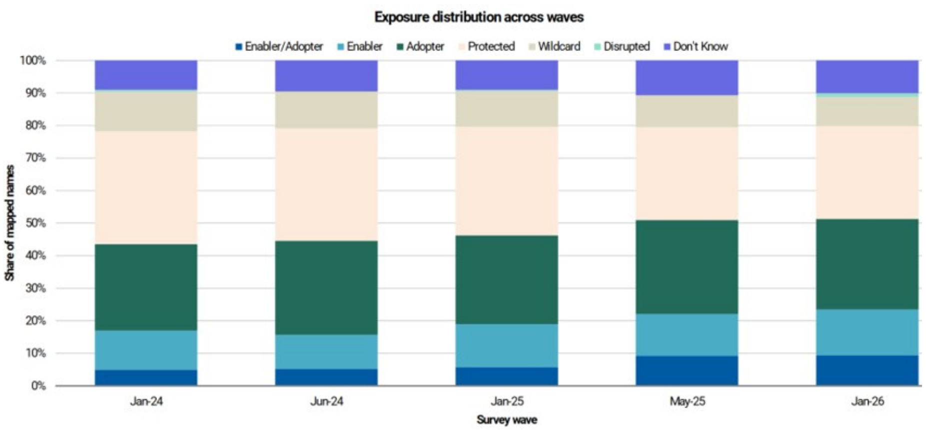
What changed	Commercialization at scale	AI cloud + data center buildout	Rising domestic stack
Still developing	Advanced chips / EDA	2B monetization	Labor disruption risk

Source: Morgan Stanley Research.

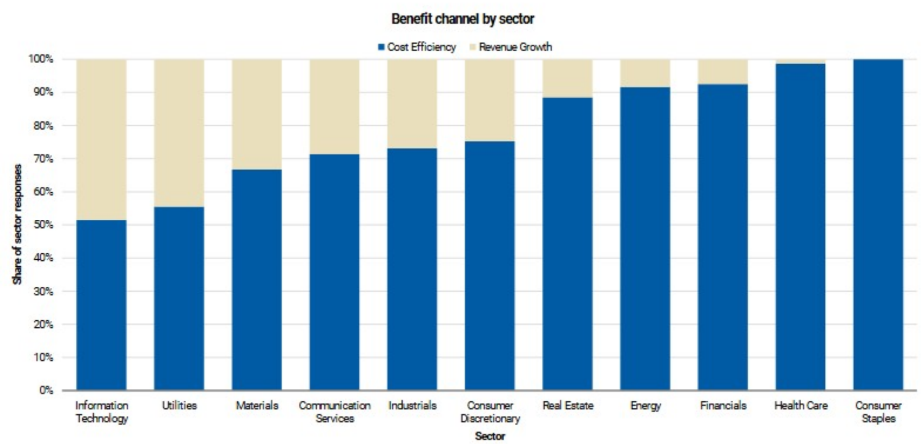
AI Diffusion

AI Impact Broadening Out

51% of surveyed corporates are now AI enablers/adopters



IT, Utilities, and Materials see the most significant revenue growth from AI

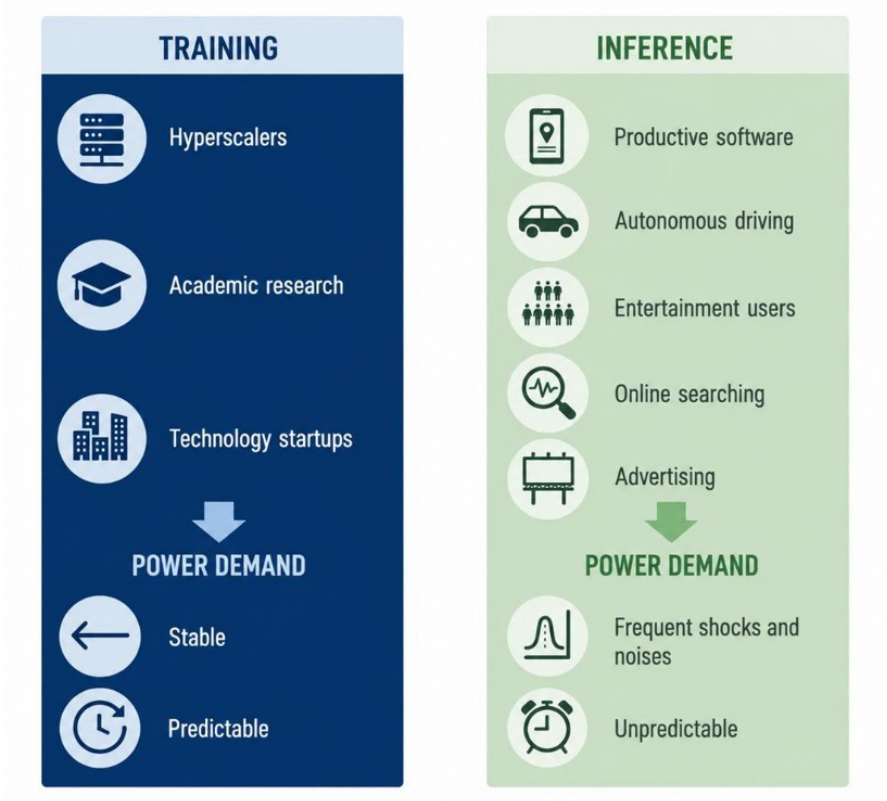


Source: Morgan Stanley Research.

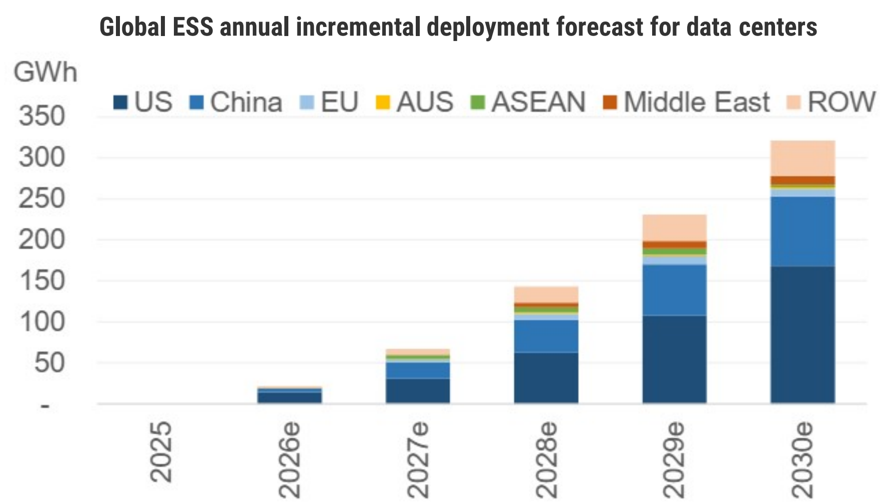
AI Diffusion

Key Developments in Strength #1: Power

Power consumption shifting from training workload to inference...



...making opportunities for the energy storage system (ESS)

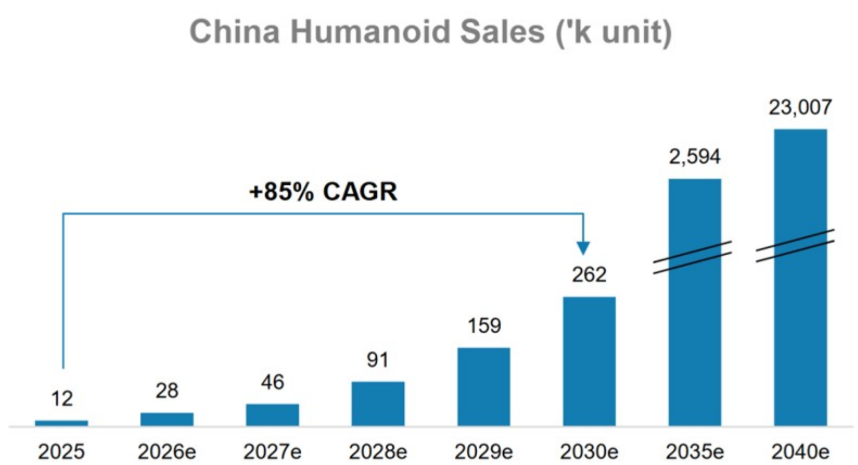


Source: Rystad, Morgan Stanley Research estimates. For more details, see China AI 2.0 – Entering a New Phase (10 May 2026).

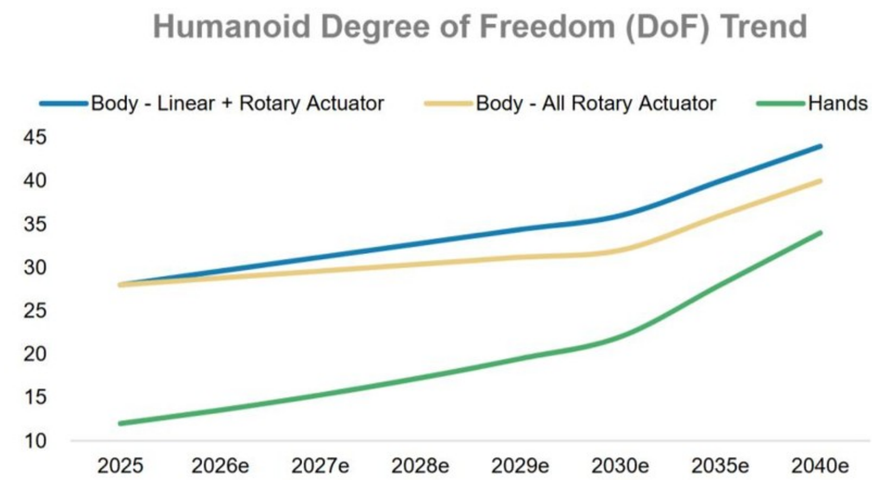
AI Diffusion

Key Developments in Strength #2: Humanoids

Our China Industrials team has revised its humanoid sales estimate to 28k units for 2026...



...and expects humanoids to be eventually more capable, accomplished by an increasing degree of freedom

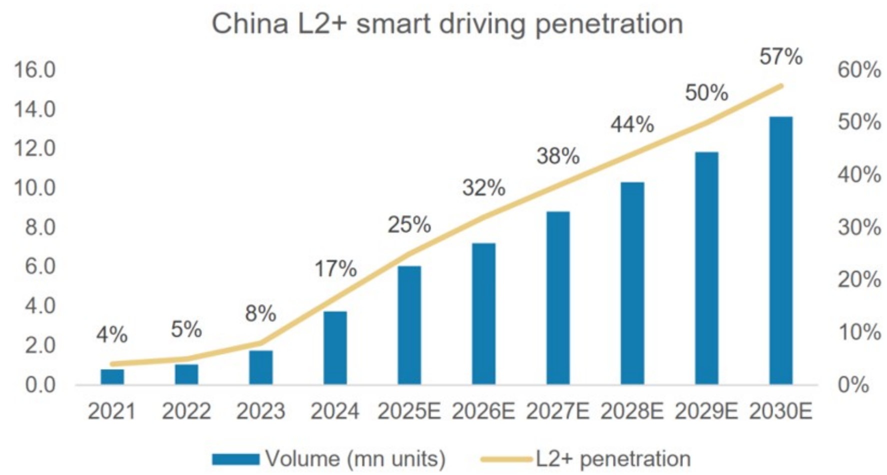


Source: Morgan Stanley Research estimates. For more details, see 2026 Outlook – Humanoids: Commercialization (21 January 2026).

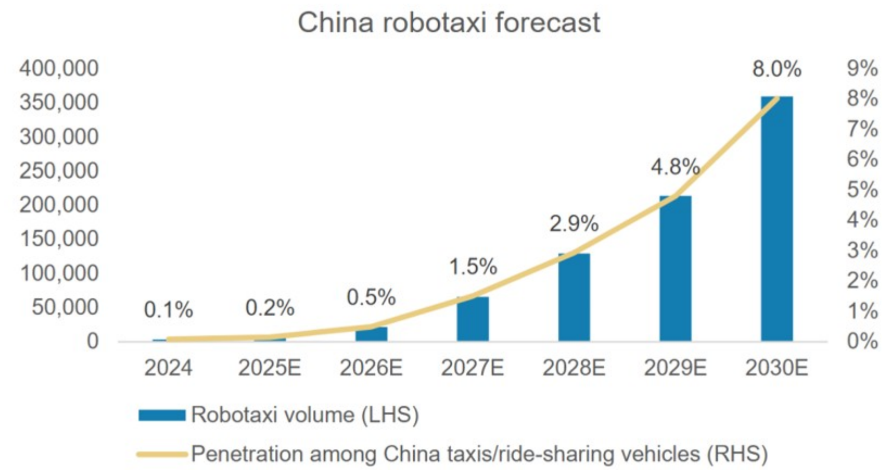
AI Diffusion

Key Developments in Strength #3: Autonomous Driving

Our China Autos team expects L2+ smart driving penetration to reach 32% in 2026 and 50%+ in 2030 (vs. 25% in 2025)



China's robotaxi fleet size to reach 360-400k units by 2030, accounting for 8% of total taxi/ride-sharing fleet size

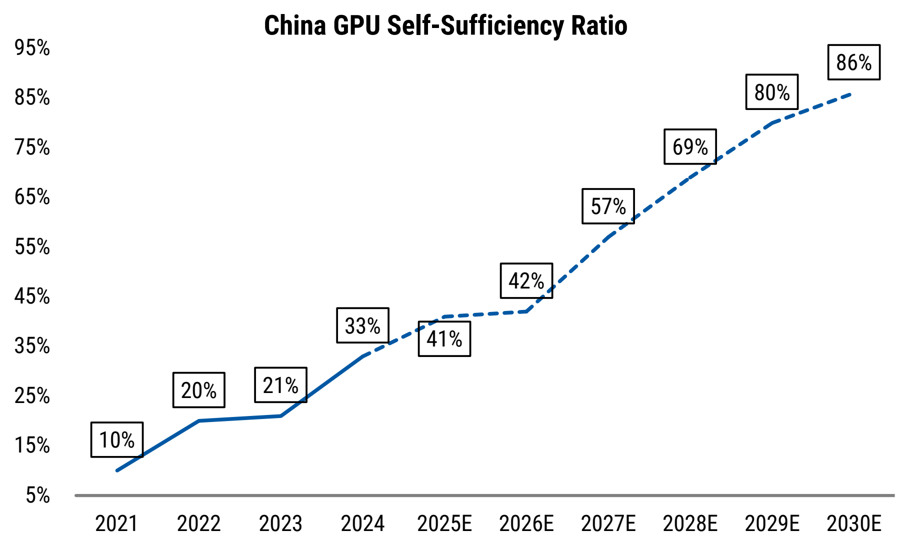


Source: NT Times, Morgan Stanley Research estimates. For more details, see China AI 2.0 – Entering a New Phase (10 May 2026).

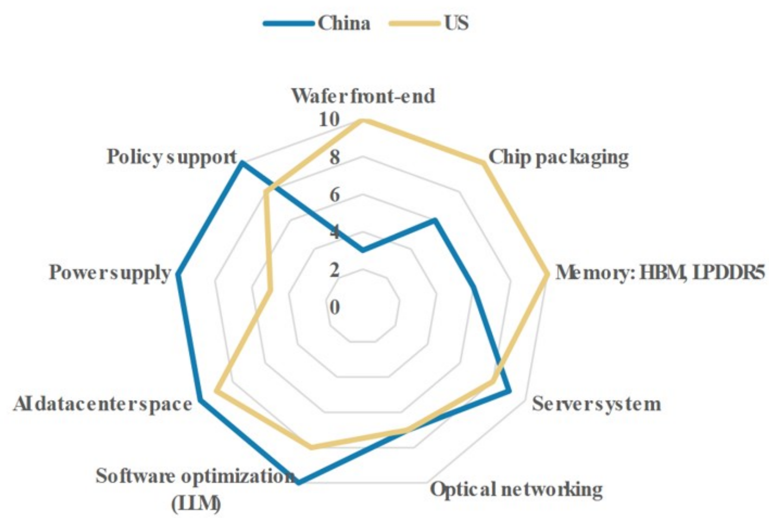
AI Diffusion

China AI Enabler

China AI chip self-sufficiency is likely to reach 86% in 2030



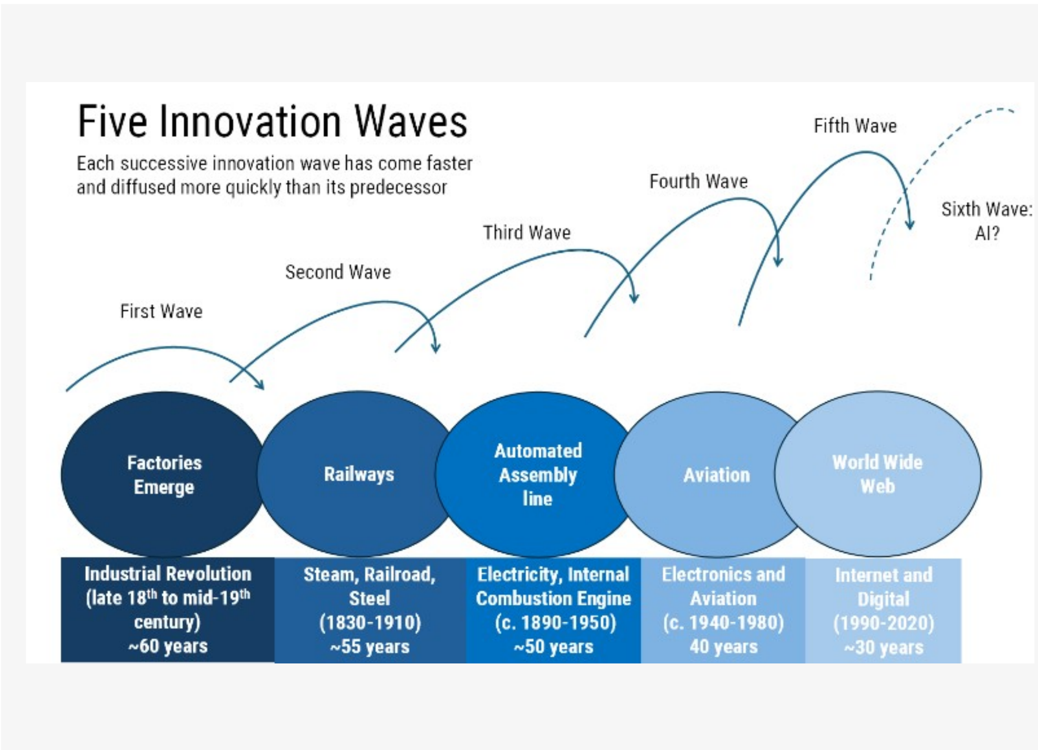
Relative strengths of US and China AI industries



Source: Company data, Morgan Stanley Research estimates. For more details, see China AI 2.0 – Entering a New Phase (10 May 2026).

AI Diffusion

AI Impact: Lessons from the Five Innovation Waves



01 Productivity gains are likely

02 Labor Displacement Is Transitional

03 Boom-Bust Cycles Are Probable

04 Inequality Risks Are Elevated

05 Education and Re-skilling Will Be Decisive

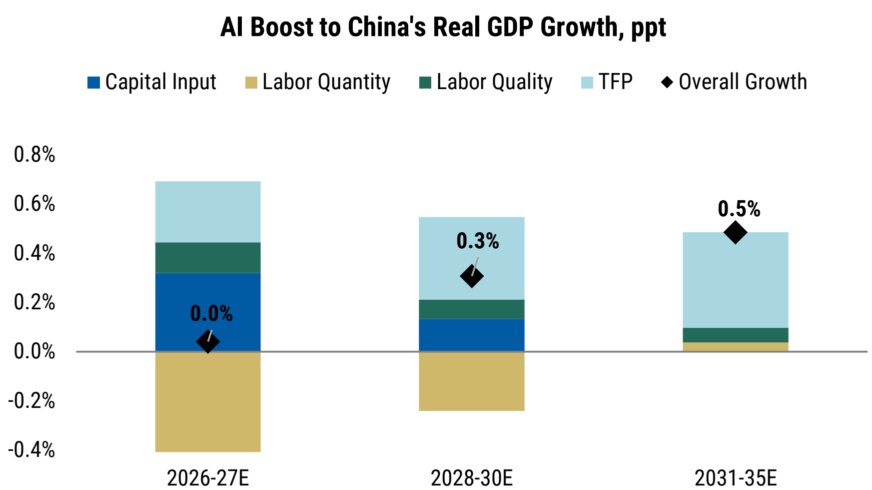
06 Policy Matters

Source: Morgan Stanley Research. For more details, kindly see Lessons from the Five Innovation Waves That Preceded AI (6 April 2026).

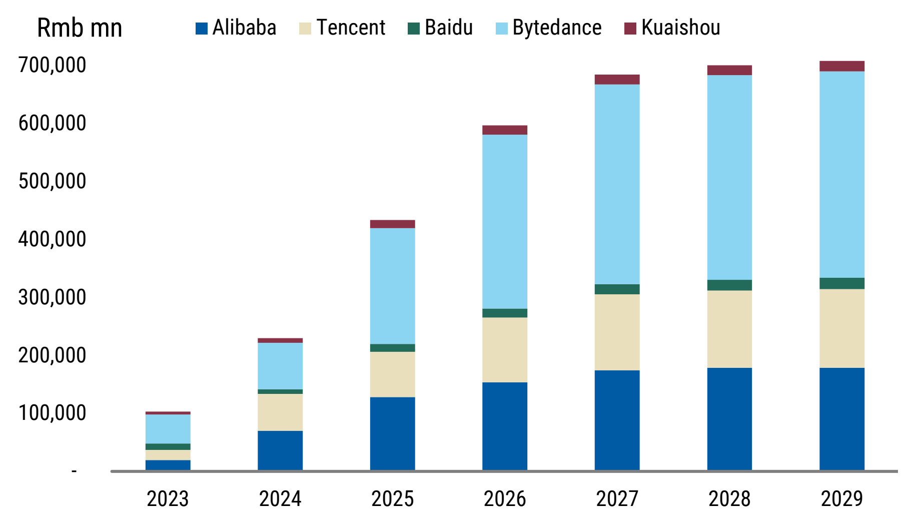
AI Diffusion

What Rapid AI Diffusion Means for China's Economy

AI's impact on China's GDP growth: Near-term neutral, long-term positive



Hyperscalers to step up AI-related capex significantly in the next two years

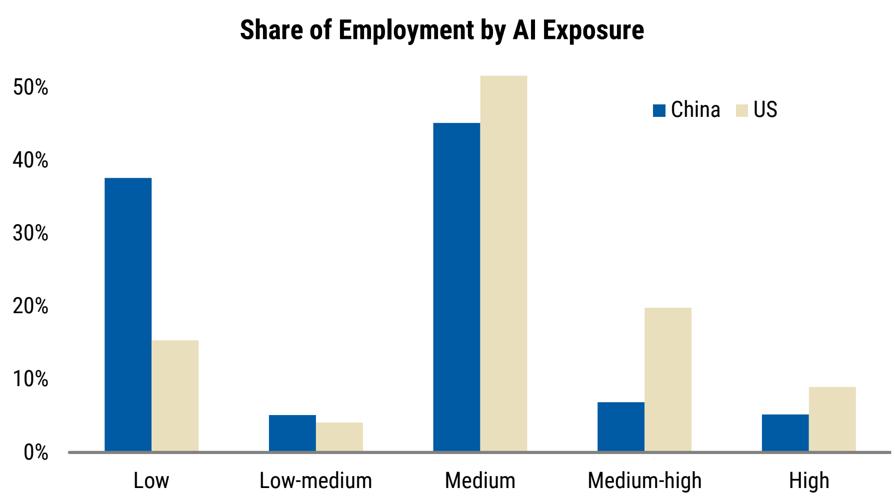


Source: CEIC, company data, Morgan Stanley Research estimates.

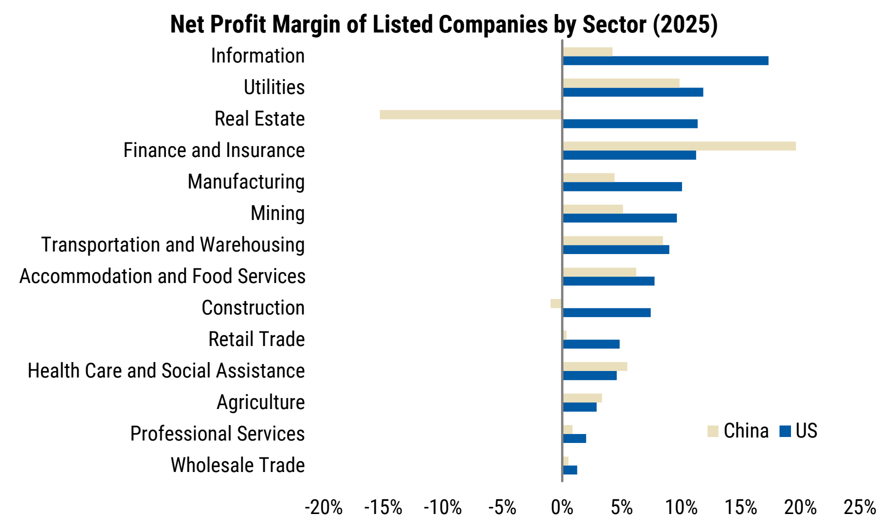
AI Diffusion

Positives Could be Offset by Near-term AI-induced Job Disruptions

China's job market is less exposed to AI diffusion than the US...



...but weaker corporate earnings in China mean higher risk of AI-induced labor replacement



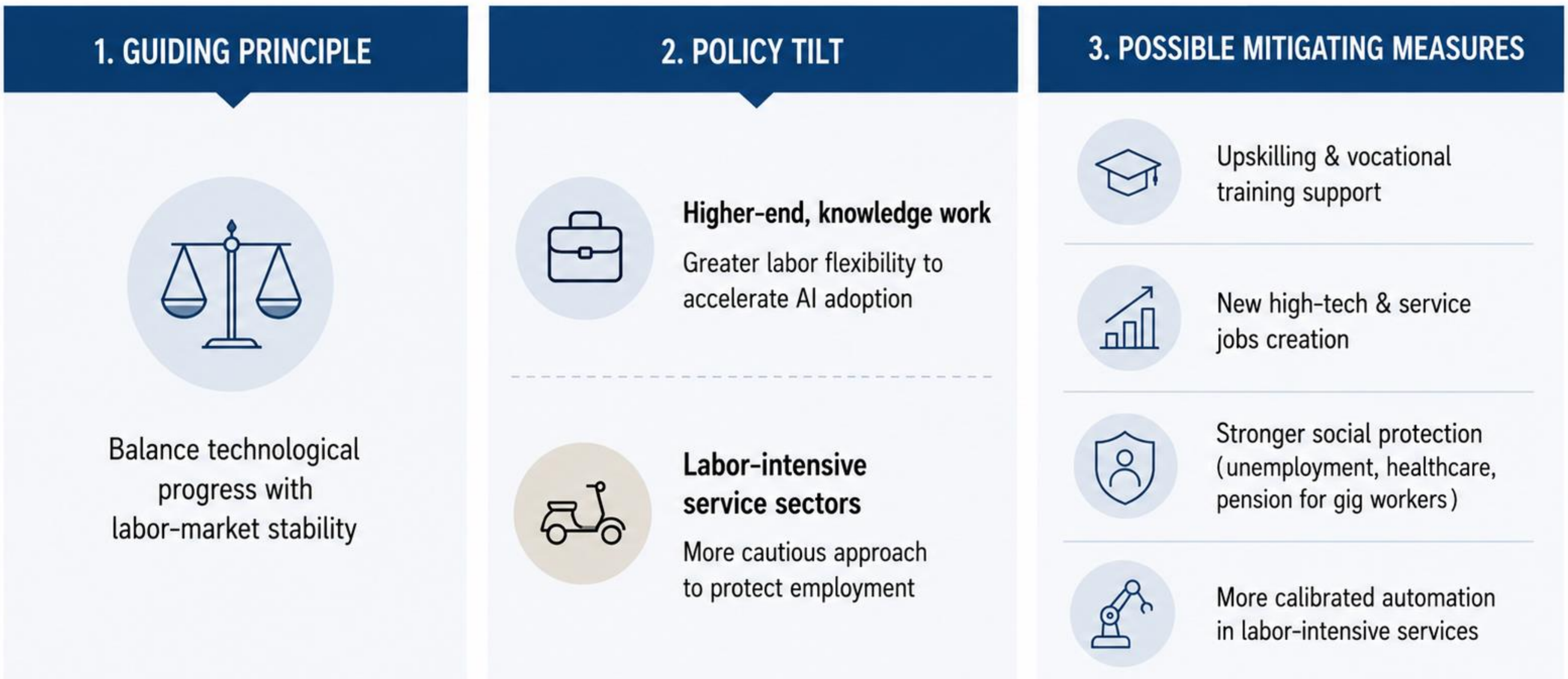
Why major technological breakthroughs tend to generate a J-curve in productivity

- Learning frictions
- Process disruption
- Investment in capital, skills and organizational change

Source: Company data, CEIC, AlphaWise, Morgan Stanley Research estimates.

AI Diffusion

What to Expect on Policy Mitigation

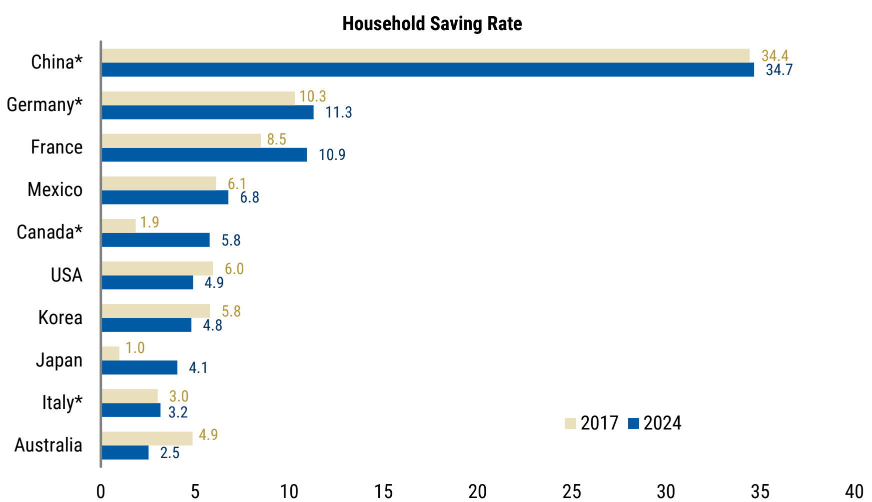


Source: Morgan Stanley Research.

Gradual Rebalancing

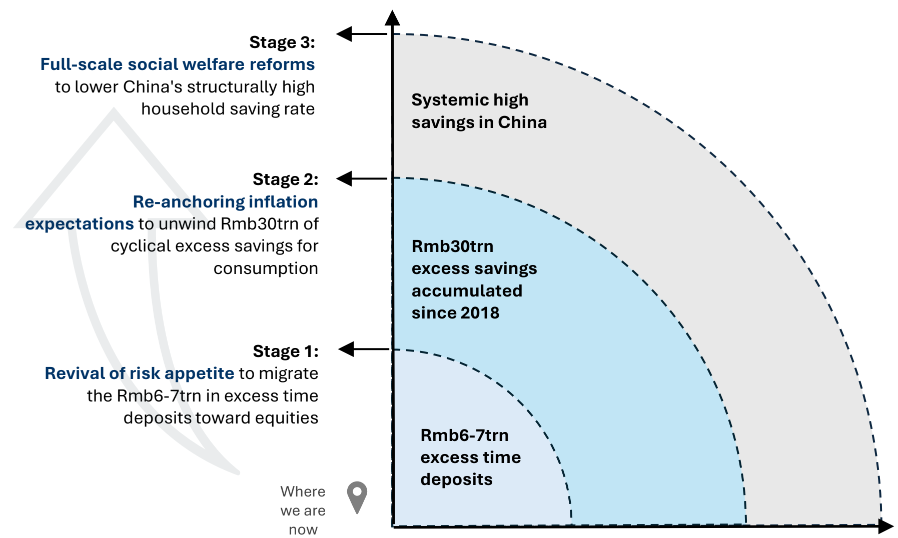
Unlock China's Household Savings…

China's household saving rate remains elevated



*2024 data for China, Germany, Canada and Italy. 2023 data for the others

A three-stage roadmap to unwind household savings

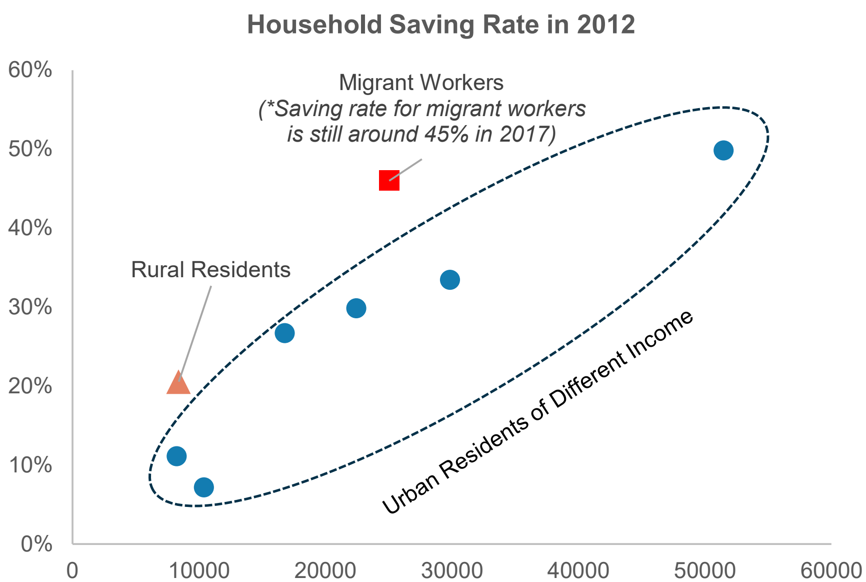


Source: Haver, OECD, Morgan Stanley Research.

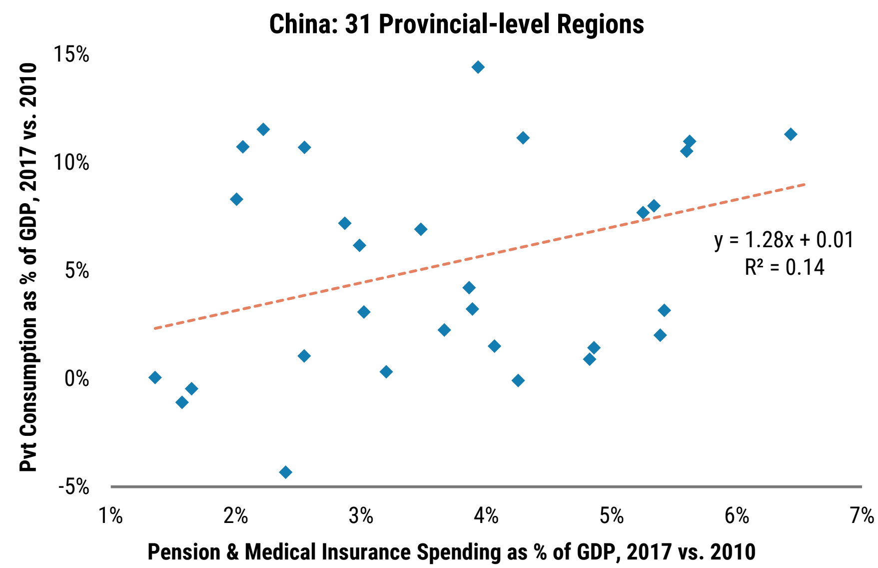
Gradual Rebalancing

…with Social Welfare Reform

Income redistribution toward lower-income households that exhibit a higher marginal propensity to consume



Provincial data show rising social welfare spending associated with higher consumption share in GDP



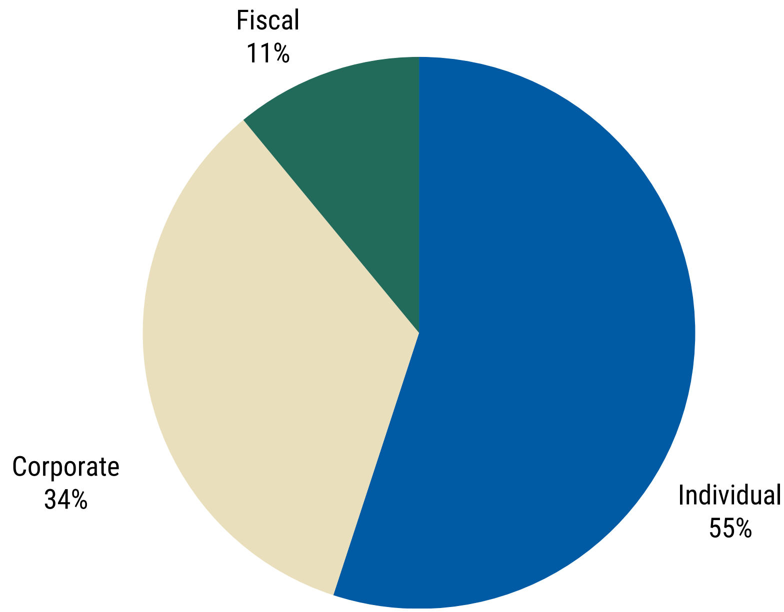
Source: CEIC, Morgan Stanley Research.

Gradual Rebalancing

Long-term Care Insurance to Enhance Social Security

- **Employees:** 0.3% (of salary), employers/employees: 50/50
- **Retirees:** 0.15% (of pension income).
- **Unemployed:** ~0.15% (of local disposable income) at launch, ~0.3% in five years, partly subsidized by government.

Long-term Care Insurance Contribution Breakdown (% Share)



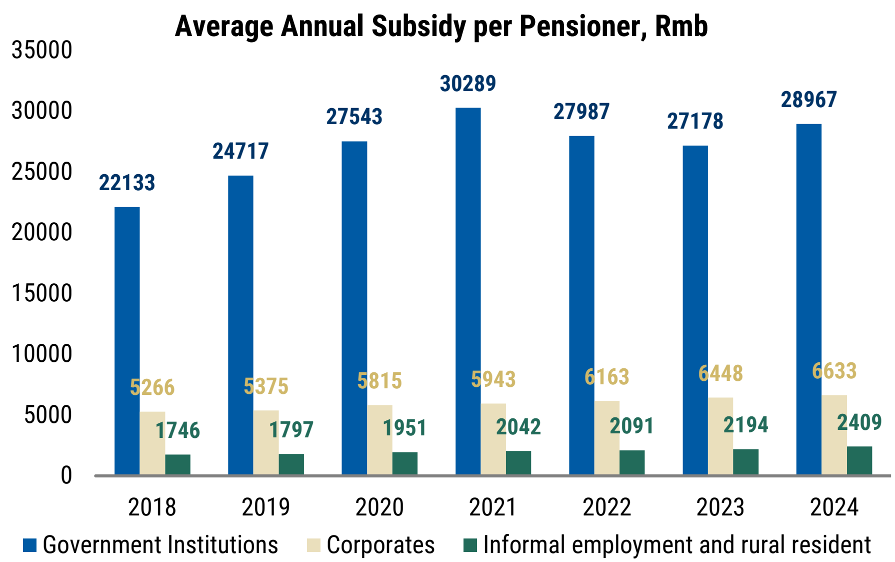
Annual Total Contribution: ~Rmb100bn

Source: Government website, Morgan Stanley Research.

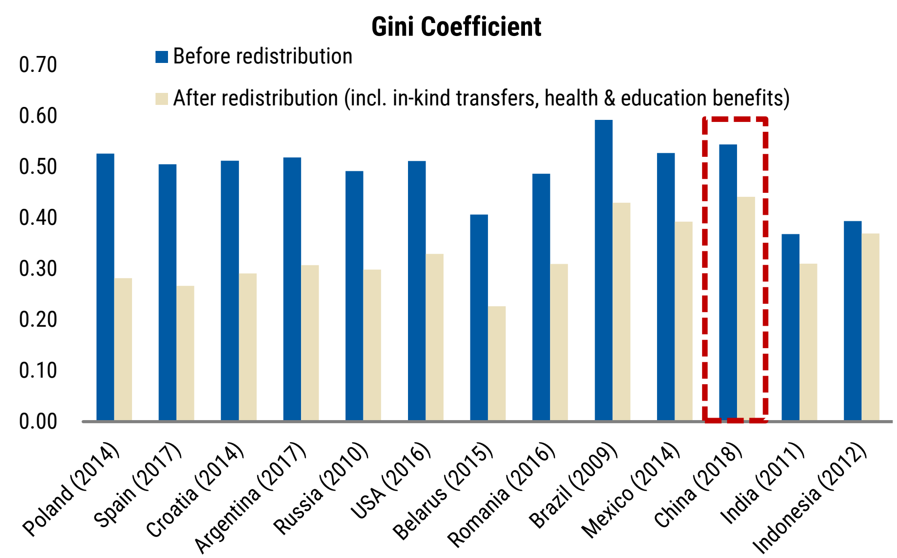
Gradual Rebalancing

Fragmented Social Welfare System

Wide benefit gaps across social groups



Inequality reduced, yet redistributive power lags peers

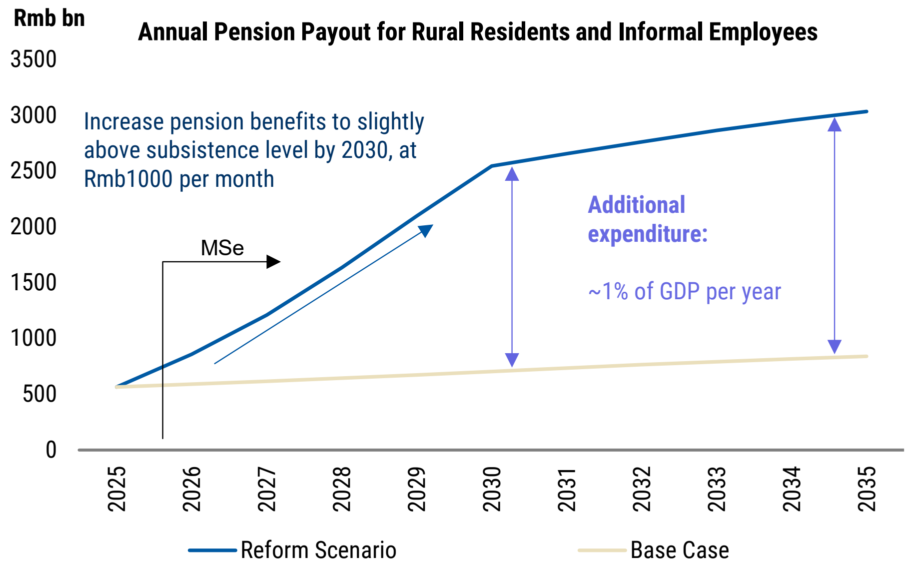


Source: CEIC, World Bank, CEQ Institute, Morgan Stanley Research.

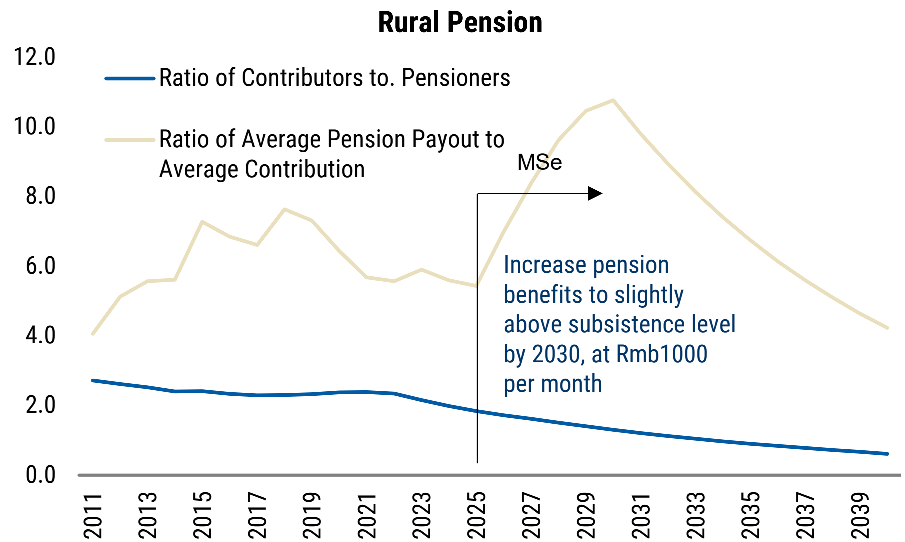
Gradual Rebalancing

Is Social Welfare Reform Financially Sustainable?

Reasonably lifting rural pension benefits would incur modest additional fiscal burden…



…but the system would become more underfunded over the long run



Source: CEIC, Morgan Stanley Research estimates.

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